

Latin American Democratization since 1978

Democratic Transitions, Breakdowns, and Erosions

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What explains the remarkable burst of democratization that Latin America experienced between 1978 and 1992? And what explains the stagnation of democratization since 1992? These are the fundamental questions of this chapter.

Many of our answers to these questions run contrary to conventional wisdom based on worldwide analyses. For example, many authors have argued that more economically developed countries are more likely to be democratic. In contrast, for Latin America during the fifty-five years covered in our analysis, in particular from 1946 to 1977, economically more developed democracies were actually slightly more vulnerable to regime breakdowns. Theories of democracy based on modernization, class structure, and economic performance are poor explanations of the post-1978 democratic transformation.

Our analysis underscores the importance of the regional political environment – a factor that was downplayed until the 1990s in writings on democratization. Decreasing polarization and stronger commitment of political elites to democracy also help explain the post-1978 democratization.

Our second major objective is to examine and interpret the impasse that the wave of democratization encountered after 1992. A number of nonconstitutional depositions of democratically elected presidents occurred; some democratic regimes eroded and became semidemocratic; more antiparty presidents have been elected, with potentially negative consequences for democracy; and the legitimacy of democracy as measured in public opinion surveys declined. Three factors help explain the impasse of democratization. First, although international actors have developed effective means of combating coups and egregious electoral fraud, international actors are almost powerless to improve the quality of democracy and to avoid erosions in the quality of democracy. Second,

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poor economic growth has limited structural transformations that would have been favorable to democracy. Finally, the economic, social, and security performance of most democratic and semidemocratic governments in Latin America has been poor, reinforcing problems of democratic legitimacy and paving the way to antiparty presidents.

This chapter focuses on broad regional trends and on questions of regime change and durability. We deal only in passing with what might be broadly (if vaguely) called the quality of democracy – a key theme that the country chapters examine in detail. In terms of the regionwide scope, this chapter and Hagopian's conclusion are different from the country-specific analyses that follow. These different approaches complement one another. In this chapter, we show that there are powerful regionwide trends and influences that the country-specific chapters do not address. At the same time, the regional trends leave a great deal of regime change and durability unexplained; country-specific factors are very important. Methodologically, the combination of some analysis of region-wide trends and some of country-specific dynamics is ideal for understanding the post-1978 wave of democratization in Latin America.

1. TRENDS IN DEMOCRATIZATION IN LATIN AMERICA

The post-1978 wave of democratization has been far more extensive, involving far more countries, and has lasted for longer than any previous wave of democracy in Latin America. But what is a “wave,” anyway? And how can we assess the magnitude of this change?

To assess trends in democratization in Latin America, we developed a tri-chotomous scale of democracy (Mainwaring, Brinks, and Pérez-Liñán 2001). This measure classifies governments as democratic, semidemocratic, or authoritarian for the period from 1945 until 2003. We defined as democratic every regime that during a particular year met four characteristics: (1) the government was elected in free and fair elections; (2) there were good protections for civil liberties; (3) the electorate included most of the adult population; and (4) there was no encroachment of the military or other nonelected actors in the domain of elected powers. If one or more attributes are only partially compromised (e.g., circumscribed episodes of electoral fraud are reported, gross human rights violations take place in certain regions of the country but do not disrupt the operation of the regime at the national level), we classify the regime as semidemocratic. If any of those attributes is missing, the regime is coded as authoritarian (or more precisely, nondemocratic). We sometimes refer to the combined set of democracies and semidemocracies as competitive regimes.

Table 1.1 in the Introduction showed the Mainwaring/Brinks/Pérez-Liñán coding of twenty Latin American countries for 1945–2003. Any summary classification of a political competitive regime compresses a tremendous amount of information and hence fails to provide the rich, more detailed portrait of political regimes found in the country studies in this volume. On the plus side,

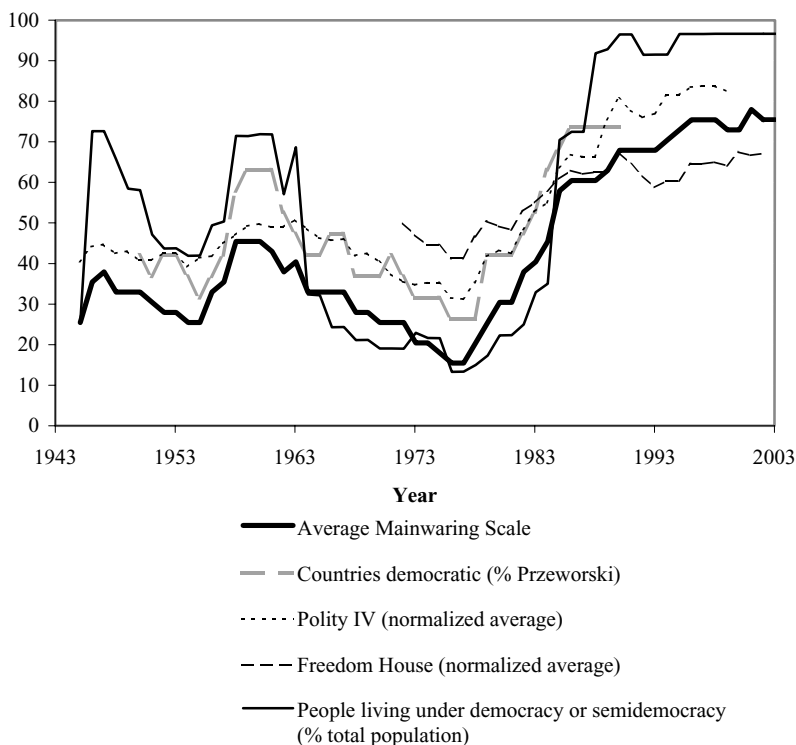


FIGURE 1.1. Evolution of Democracy in Latin America, 1945–2003.

our measure makes it possible to assess the level of democracy in the region and to analyze regime changes partially through quantitative data – two virtues.

Throughout the rest of this chapter, we use this classification for assessing regime change to and from democracy (and semidemocracy).¹ For analyzing democratic transitions and breakdowns, our categorical measure of democracy has advantages over continuous or interval measures such as those used by Freedom House and Polity. For these continuous or interval measures, one would need to impose artificial cut-points to determine when a transition or breakdown had occurred.

To trace the evolution of regime patterns over time, Figure 1.1 compares this scale with three other measures of democracy commonly employed in comparative politics: the dichotomous classification by Przeworski et al. (2000),

¹ In most cases, assessing when a regime has changed from authoritarian to (semi)democratic or vice-versa is straightforward. For example, a dictatorship may sponsor elections and lose, giving rise to a semidemocracy or a democracy. Conversely, a military coup may topple an elected civilian government, beginning a period of patently authoritarian rule. In a few cases, transitions are less abrupt and therefore harder to date. For example, we code Argentina as moving from a semidemocracy to an authoritarian regime in 1951 (when Juan Perón won reelection), but 1949, when the Radical Party opposition abandoned the constituent assembly in protest, could have been an alternative date.

Freedom House scores for the post-1972 period (Gastil 1991), and the Polity scale (Gurr, Jagers, and Moore 1990; Jagers and Gurr 1995; Polity IV Project 2000). Figure 1.1 depicts the evolution of democracy in twenty Latin American countries according to these four indicators. In Figure 1.1, for purposes of comparability, we normalized all four indicators to range from zero to one hundred.²

All four indicators depict a similar trend for 1945–2003, suggesting a high level of reliability in the overall picture.³ Democracy expanded somewhat in the late 1950s and early 1960s and then hit a nadir in the 1970s followed by an unprecedented surge during the 1980s. Figure 1.1 thus confirms the occurrence of two waves of democratization during the second half of the twentieth century and illustrates the unprecedented strength of the change during 1978–92. The increase in the number of democracies and semidemocracies in Latin America between 1978 and 1992 was dramatic. At the beginning of this period, Latin America had only three democracies: Colombia, Costa Rica, and Venezuela. By 1990, every government in the region with the exceptions of Cuba and Haiti was democratic or semidemocratic. Moreover, in contrast to what occurred in earlier waves of democratization in Latin America, this wave has lasted much longer and has been broader in scope.

Figure 1.1 also shows the percentage of the total Latin American population living under democratic rule according to our trichotomous classification. This final measure of democracy is consistent with the other four. In 1969 only 21 percent of Latin Americans lived under democracy or semidemocracy; in 1999, however, 59 percent lived under democracy, and another 37 percent under semidemocratic conditions.

Figure 1.2 shows Polity scores, the only of these five indicators that is available for the pre-1945 period, to assess levels of democracy from 1903 (when Panama became independent) to 1945. The evolution of the normalized mean Polity value for these nineteen countries was flat during these decades, ranging from a high of 47.1 in 1918 to a low of 35.3 in 1936, with a long-term (1903–45)

² The formulas used to rescale the different measures of democracy to range between 0 and 100 were (1) for Polity: $(\text{Polity score} + 10) * 5$; (2) for Freedom House: $(14 - [\text{Political rights} + \text{Civil liberties}]) * 100/12$; (3) Przeworski's classification: $(\text{democracy dummy}) * 100$; and (4) Mainwaring et al.'s trichotomous scale: $\text{Score} * 50$ (where Score equals 0 for authoritarian regimes, 1 for semidemocracies, and 2 for democracies). In Figure 1.1, though not elsewhere in this chapter, we treat our trichotomous indicator as a continuous scale ranging from 0 for authoritarian regimes to 50 for semidemocracies to 100 for democracies to make possible the comparison with the other measures.

³ These four measures of democracy are strongly correlated. Taking each regime-year (one regime in one year) as a single case, the Mainwaring scale correlates (Pearson correlation) at .82 with the Alvarez, Cheibub, Limongi, and Przeworski (ACLP) dummy, at .82 with Freedom House scores, and at .85 with the Polity variable. The ACLP dummy correlates at .79 with Polity and .80 with Freedom House scores, and Polity classifications correlate at .85 with Freedom House. The four series (i.e., the annual averages for nineteen countries) are even more strongly correlated. The proportion of democracies and semidemocracies according to the Mainwaring et al. three-point scale correlates at .956 with the Przeworski series, at .959 with Freedom House scores, and at .957 with the Polity index.

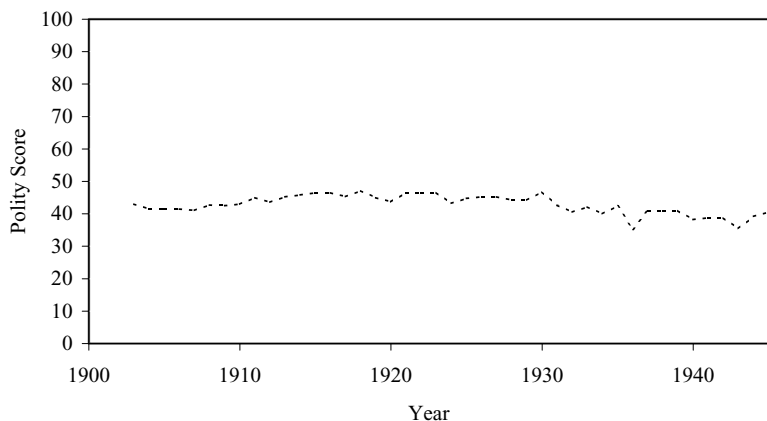


FIGURE 1.2. Evolution of the Polity Score in Latin America, 1903–1945.

average annual rate of change of just -0.1 points on a scale between 0 and 100. Thus, the wave of democratization that began in 1978 is unique in Latin American history, both in duration and in breadth.

Figure 1.1 suggests two important questions. First, why has democracy and semidemocracy been much more widespread since the 1980s than ever before? Second, why has democratization not advanced more since 1992? Only by posing both questions is it possible to appreciate both the achievements in the face of daunting challenges and the serious shortcomings of democracy.

“Waves” of Democracy?

How useful is the notion of “waves” to describe the historical vicissitudes of democratic rule in Latin America? According to Huntington’s classic book (1991: 15), “a wave of democratization is a group of transitions from non-democratic to democratic regimes that occur within a specified period of time and that significantly outnumber transitions in the opposite direction.” Because Huntington did not provide any concrete operational rules, the number and duration of such “specified periods” of democratic expansion requires further clarification (Doorenspleet 2000). Huntington identified three global waves of democratization: 1828–1926, 1943–62, and 1974–91 (when his book was published). We adopt Huntington’s periodization as an initial heuristic and provide a more operational definition of wavelike historical change. Because, as is reflected in Figure 1.2, Huntington’s first wave had little influence in Latin America (it involved only Argentina, Chile, Uruguay, and to some extent Costa Rica), we focus on the evolution and the magnitude of the second and the third waves.

To compare the impact and magnitude of the “second” and “third” waves of democratization, in Latin America, we need an operational definition of “wave.” We label as a wave of democratization a continuous time spell during which there is a sustained decline in the number of authoritarian regimes. A wave is considered to be terminated if the number of authoritarian regimes

increases during any one year or remains constant for more than three years in a row. It is possible to evaluate the impact of a wave in terms of its *magnitude* (the difference between the number of democracies and semidemocracies in the initial and in the final year) and its *duration* (the length of the time-spell as determined by the termination rule above).

According to this definition, two waves of democratization took place in Latin America between 1946 and 2003: from 1956 until 1962 and from 1978 until 1992. We use Huntington's denomination of "third wave" to refer to the post-1978 period. In Latin America, the magnitude of this wave was significantly greater than the one of 1956–62. The earlier wave lasted for six years and expanded the number of democracies and semidemocracies by seven (from five in 1955 to twelve in 1961). The wave that started in 1978 lasted fourteen years and enlarged the democratic and semidemocratic camp from three cases in 1977 to eighteen in 1991. In contrast to what occurred in earlier waves of democratization in Latin America, this wave has lasted much longer and has been broader in scope. A region that throughout its history was overwhelmingly authoritarian became mostly democratic and semidemocratic.

Even more striking, the 1956–62 wave was followed by fifteen continuous years of democratic regression or stagnation, while the 1978–92 wave was followed (after the Peruvian palace coup in 1992 terminated the expansive cycle) by eight years of democratic stability or growth between 1993 and 2000. This aftermath, however, is not free of complications, which we address later.

The 1978 wave was not only unique in Latin America's history but also one of the most dramatic waves of democratization ever accomplished in the world. Greece, Portugal, and Spain began the Third Wave of democratization, but Latin America turned it into a wave rather than what might have been a mere ripple.

Two Puzzles

The post-1978 historical transformation could result from one or both of two different processes. One is that transitions to democracy became more frequent after 1977 than in previous decades; the other is that semidemocratic and democratic regimes have endured for more time (Przeworski et al. 2000). If transitions to democracy were more frequent after 1977, the absolute number of democracies and semidemocracies would increase even if the breakdown rate did not change because new democracies would emerge at a faster pace than the older ones collapsed. In a similar vein, even if the rate of transitions from authoritarianism remained constant, their absolute number would increase if the breakdown rate of elected governments decreased because democracies would survive once established.

Table 1.1 shows that both possibilities account for the post-1978 upsurge.⁴ The incidence of transitions to semidemocratic or democratic regimes from

⁴ In the rest of this paper, we exclude Cuba from the analysis because of the difficulty in finding reliable socioeconomic data that are directly comparable to the data we have for other countries.

TABLE 1.1. *Rate of Transitions and Democratic Breakdowns, 1945–1999*

Period	Breakdowns			Transitions to Democracy or Semidemocracy		
	N	Total	Breakdown Rate (%)	N	Total	Transition Rate (%)
1945–1977	20	242	8.3	16	368	4.3
1978–1999	1	283	0.4	16	135	11.9
1945–1999	21	525	4.0	32	503	6.4

N: Number of breakdowns of democracy or semidemocracy, or transitions from authoritarianism.

Total: number of regime-years of authoritarianism or democracy/semidemocracy.

Breakdown (or transition) rate: number of breakdowns over total number of regime-years of democracy.

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

authoritarianism nearly tripled between 1978 and 1999 compared to that in 1945–77. The likelihood that any randomly chosen authoritarian regime would undergo a transition to democracy in a particular year increased from 4.3 to 11.9 percent. The incidence of breakdowns of democratic and semidemocratic regimes fell much more dramatically. Breakdowns were *twenty* times more likely for a given competitive regime in a given year before 1978 than they have been since then. Democratic breakdowns before 1978 were very common (twenty in number); between 1978 and 1999, they virtually ceased to occur. The only breakdown after 1978 was Peru in 1992, and it took tremendously adverse conditions for democracy to break down that year: a devastating and prolonged economic recession (a mean growth rate of -2.36 percent per capita per year from 1980 to 1991) coupled with hyperinflation (a mean inflation rate of 1,060 percent from 1980 to 1991), one of the most virulent and powerful terrorist groups (Sendero Luminoso) in the history of Latin America, and intense conflict between the president and the executive (Kenney 2004; Tanaka, this volume). This increased survival rate of democratic and semidemocratic regimes is the more important key to explaining the far greater proportion of democracies in Latin America since 1978.

Table 1.1 suggests two puzzles that provide the key to understanding the sea change in Latin American politics after 1978. First, what explains the increase in the likelihood of transitions to democracy in Latin America? Second, what explains the increase in the durability of democratic and semidemocratic regimes in the region?⁵

Most standard sources, such as the Economic Commission for Latin America and the Caribbean, published little data on Cuba during much of the post-1959 period.

⁵ To keep the terminology short and consistent, in this chapter the terms “regime breakdown,” “breakdown,” and “breakdown rate” refer exclusively to changes from democracy and semidemocracy to authoritarianism. We use other terminology for the breakdown of authoritarian regimes.

2. DEPENDENT AND INDEPENDENT VARIABLES

When it is possible to measure theoretically important independent and dependent variables in a reasonably efficient and valid manner, quantitative analysis allows for a more rigorous assessment of the causal impact of the independent variables. We therefore begin our exploration of regime changes with a quantitative analysis. Each political regime in each year counts as one case for our analysis; we hereafter call this unit a regime-year. The dependent variable for all authoritarian regimes is whether the regime changes to a democracy or semidemocracy in a given year. The dependent variable for all democratic and semidemocratic regimes is whether it breaks down into authoritarianism in a given year.

According to our definition, a new regime is inaugurated every time authoritarian rule becomes democratic or semidemocratic, or a democracy or semidemocracy breaks down into authoritarianism.⁶ The probability of a regime change is exactly opposite to the probability of regime durability because a regime either changes or it does not. Thus, if the probability of regime breakdown for any given year is p , the probability of survival is $1 - p$. We model regime change using rare event logistic regression (RELogit), a statistical technique designed for dependent variables in which the distribution of the dichotomous outcome is very uneven. This is the situation with regime changes. In our dataset with 1,026 regime-years, there are 53 regime changes (32 transitions to democracy or semidemocracy and 21 breakdowns). The quantitative analysis enables us to systematically test for the first time the impact of some important theoretical approaches to regime change in Latin America.

Quantitative analysis should be grounded in a theoretical understanding of politics. For this reason, in the remainder of this section, we explore some leading empirical theories of democracy and their capacity to provide insights into the two puzzles introduced in the previous section. We discuss six quantifiable theoretical approaches that have been presented as explanations of either the emergence or the survival of democracies: the level of economic development as a proxy for modernization, class structure, economic performance, the regional political environment in Latin America, party system fragmentation, and party system polarization.

⁶ Several "regimes" may emerge and break down during an otherwise continuous period of authoritarianism. For instance, the age of Colorado hegemony in Paraguay following the civil war (1947–54) was eventually replaced by the *Stronato* (1954–89) without any improvement in democratization. Since we are concerned with democratic transition and breakdown, we focus on the inauguration of regime *types* (democracy, semidemocracy, and dictatorship) and their survival rather than on the replacement of the ruling cliques. With our operationalization of regime types, the beginning of a new regime does not always coincide with the beginning of a new government. The MNR (Movimiento Nacionalista Revolucionario or National Revolutionary Movement) government in Bolivia took power in 1952, but it did not hold elections until 1956. For this reason, the 1952–55 period is a continuation of authoritarian rule, while 1956 marks the beginning of a semidemocracy. For operational reasons, our measure of long-term performance does not go back beyond 1945.

Level of Development

One of the most consistent findings in the democratization literature has been that the level of modernization has a major impact on the likelihood of democracy (Bollen 1980; Bollen and Jackman 1985; Burkhart and Lewis-Beck 1994; Coppedge 1997; Dahl 1971: 62–80; Diamond 1992; Huntington 1984, 1991; Jackman 1973; Lipset 1959; Lipset, Seong, and Torres 1993; Londregan and Poole 1996; Przeworski et al. 2000; Rueschemeyer, Stephens, and Stephens 1992).⁷ We measure the level of development using per capita income (GDP) in 1995 U.S. dollars, following the World Development Indicators (World Bank 2001b).⁸

Class Structure

Diamond (1992), Lipset (1959), Moore (1966), and Rueschemeyer et al. (1992), among others, see the prospects for democracy as resting significantly on the nature of the class structure. Rueschemeyer et al. argued that “capitalist development is associated with democracy because it transforms the class structure, strengthening the working and middle classes and weakening the landed upper class” (p. 7). According to them, “[t]he working class was the most consistently pro-democratic force. The class had a strong interest in effecting its political inclusion . . .” (p. 8). They also argued that a powerful landed aristocracy is inimical to democracy (pp. 60–61).

We use the percentage of labor force in manufacturing as a gross indicator of the numerical leverage of the working class. The size of different classes should be relevant to testing Rueschemeyer et al.’s arguments; indeed, they explicitly argued that class size is an important determinant of democracy (p. 59). Per capita GDP is correlated at .682 with the percentage of the labor force working in manufacturing ($p < .001$).

⁷ This finding has been challenged in the Latin American context. O’Donnell (1973) argued that bottlenecks of development in the most industrialized Latin American countries triggered the emergence of military regimes in the 1960s and 1970s. Domínguez (1993) and Valenzuela and Valenzuela (1983) argued that democracy in some Latin American countries has thrived at low per capita income levels. Muller (1988, 1995) claimed that for countries with intermediate income levels, the likelihood of democracy would diminish when per capita income increases. Przeworski and his collaborators found the relationship between development and democratic survival to be statistically insignificant among presidential regimes and concluded that “the chances of survival for presidential democracies are independent of per capita income” (Przeworski et al. 2000: 132). Mainwaring and Pérez-Liñán (2003) documented a weak and nonlinear relationship between levels of development and democracy in Latin America. See also Landman (1999).

⁸ In principle, a positive correlation between per capita income and the likelihood of democracy could occur because democracies promoted more rapid economic growth than nondemocracies. If this were the case, even if the two kinds of regimes started out at the same per capita level, the democracies would end up with a higher per capita income, accounting for the positive correlation. This type of bicausality is not a problem with our sample because democracies did not grow at a faster pace than nondemocracies. The average annual per capita growth rate for democracies was 1.60 percent; for semidemocracies it was 1.04 percent, and for authoritarian regimes it was 1.59 percent. For semidemocratic and democratic regimes together, the average annual per capita growth rate was 1.49 percent.

Regime Economic Performance

Several scholars (Diamond 1999: 77–93; Diamond and Linz 1989: 44–46; Gasiorowski 1995; Geddes 1999b; Haggard and Kaufman 1995; Lipset et al. 1993; Przeworski et al. 2000) have argued that competitively elected and/or authoritarian regimes are more likely to break down if their economic performance is poor. We used two variables to measure a regime's economic performance: change in per capita income (i.e., the rate of economic growth) and the consumer price index (CPI) (i.e., inflation).⁹ For both growth and inflation, we use a short-term measure (the previous year) and a medium-term measure (average growth or inflation of a given regime since its inception, for up to ten years).¹⁰

Regional Political Environment

Until the 1990s research on political regimes focused heavily on domestic factors (for an exception, see Whitehead 1986). Since the 1990s, however, scholars have paid more attention to international factors in regime change and stability (Brown 2000; Gleditsch 2002; Lowenthal 1991; Pevehouse 2002; Pridham 1991; Starr 1991; Whitehead 1996). A favorable international environment might enhance chances for democracy, while an unpropitious environment might work against democracy. To explore this possibility, we included a variable ("region") to assess the impact of Latin America's regional political context on the likelihood of regime durability and change. We measured the regional political environment through the number of strictly democratic countries in the region every year, excluding the country in question if it was democratic. The coding for this independent variable was based on our trichotomous measure of democracy. The value of this variable can theoretically range from zero, if none of the other nineteen countries in the region were democratic in a given year, to nineteen if all twenty countries were democratic in that year. We exclude the country in question to avoid problems of endogeneity. We expected a more democratic regional environment to encourage democracy (Gleditsch 2002; Starr 1991; Whitehead 1986, 1991, 1996).

⁹ Growth was estimated based on our per capita GDP figures. Inflation was obtained from the World Development Indicators (World Bank 2001b) database for 1961–99 and from the Global Financial Database and ECLAC (the Economic Commission for Latin America and the Caribbean) reports for 1945–60 (ECLAC 2001).

¹⁰ The impact of inflation on regime changes should be nonlinear, given the existence of many episodes of three- and four-digit inflation rates in our Latin American sample (Gasiorowski 1995, 1998). Presumably, an increase in inflation from 0 to 100 percent should have a greater impact on regime stability than an increase from 900 to 1,000 percent. To many actors, an increase in inflation from 0 to 100 percent would have profound negative repercussions; an increase from 900 to 1,000 percent would not. For this reason, we used the natural logarithm of the inflation rate. The actual formula employed was $\ln[1 + i(t - 1)]$ for any case of $i \geq 0$ and $-\ln[1 + |i(t - 1)|]$ for $i < 0$ (i.e., deflation), where i is the annual percent change in the CPI (Gasiorowski 2000: 326).

U.S. Foreign Policy

As a hegemonic power in the Americas, the United States can affect the likelihood of transitions to competitive regimes and of regime breakdowns. We code a 0 for years in which U.S. foreign policy subordinated democracy to other issues (1945–76, 1981–84) and 1 for years in which democracy was an important item on the agenda (1977–80, 1984–99).

Party System Fragmentation

An extensive literature has emphasized the role of institutional design in creating stable conditions for democracy. One such argument has centered on the nature of presidential regimes. Linz (1994), Mainwaring (1993), and Stepan and Skach (1994) argued that presidential regimes with fragmented party systems are more prone to breakdown. They claimed that when presidents had minority support in congress, impasses between the president and congress were more common, sometimes leading to democratic breakdown (see also Kenney 2004). Cheibub (2002) challenged this analysis, arguing that there is no linear relationship between party system fragmentation and democratic survival in presidential systems. The debate about the impact of party system fragmentation on democratic stability in presidential regimes is not relevant for explaining transitions from authoritarianism, but it might help explain the *stability* of democratic and semidemocratic regimes.

To assess the role of this factor, we created a dichotomous variable coded as 1 if the effective number of parties in the lower (or only) chamber was equal or greater than 3.0 in a given year. The effective number of parties (ENP) is a mathematical calculation that weights parties according to their size and indicates the level of party system fragmentation; an effective number of 3.0 or more parties clearly indicates multipartism.¹¹ We employ a dichotomous indicator for theoretical reasons and because of missing information on the precise number of parties for Ecuador in the 1950s and Peru in the mid-1940s.¹²

Party System Polarization

In his classic work, Sartori (1976: 140) argued that polarized party systems are more vulnerable to paralysis and less able to deal with crises (see also Sani and

¹¹ The formula for the effective number of parties is $1/[\text{Sum}(p^2)]$, where p is the proportion of seats (or votes) obtained by each party (Laakso and Taagepera 1979). The effective number of parties can be calculated in votes or in seats. Because our interest here is the relationship between the president and congress, we use the ENP in seats.

¹² A threshold of 3.0 is a stronger indicator of multipartism than a lower number, but a 2.5 threshold did not alter the overall results. The use of exact ENP figures in our statistical analysis, excluding Ecuador from 1950 to 1959 and Peru from 1945 to 1948, did not alter any of the major conclusions presented here. The ENP variable consistently had the expected sign in all models, but it failed to achieve conventional levels of significance. This is not surprising since we do not expect a monotonic increase in breakdown rates with changes in the effective number of parties (e.g., a system with 2.3 parties is not expected to be less stable than a party system with 1.8 parties). Rather, we hypothesize that breakdown rates behave as a step function of ENP, with a significant increase after the system moves into multipartism.

Sartori 1983; Valenzuela 1978). As is the case with multipartism, this issue is relevant for understanding democratic breakdowns, but not for understanding transitions to democracy.

For democratic and semidemocratic regimes, we used Coppedge's (1998: 556–57) index of party systems in eleven countries (Argentina, Bolivia, Brazil, Chile, Colombia, Costa Rica, Ecuador, Mexico, Peru, Uruguay, and Venezuela) during democratic and semidemocratic periods (1946–99). Coppedge's index adopts values between 0 (when all votes in an election are located at the center of the political spectrum) and 100 (when all the votes are equally split between extreme left and extreme right parties). Unfortunately, scores for the remaining eight countries in our sample are not available.¹³

Our dataset covers a total of 19 countries over 54 years (1946–99), providing data for 1,026 country-years. Six hundred and eight cases correspond to 1946–77 and the remaining 418 to the Third Wave period.

3. STATISTICAL ANALYSIS

In this section, we employ rare event logistic regression (RELogit) to analyze how the probability of regime change during any given year is shaped by the independent variables discussed in the previous section (King and Zeng 2001a, 2001b). We use logistic regression because our two dependent variables – transition from authoritarian rule and democratic breakdown – are dichotomous (1 = change of a regime; 0 = no change of the regime).¹⁴

Transitions to Democracy and Semidemocracy

The fundamental question in this section is what caused the post-1978 increase in the rate of transitions to competitive regimes, from 4.3 percent in 1945–77 to 11.9 percent in 1978–99. The strongest finding of the quantitative analysis is that a regional environment that was more favorable to democracy was a key factor.

Between 1946 and 1999, thirty-two transitions from authoritarianism took place in the region (sixteen before 1978 and the remaining sixteen afterward). Table 1.2 presents mean values for seven independent variables for the regime-years in which a transition to democracy occurred and those when it did not,

¹³ See Coppedge (1998: 556–57) for the formula for this index. For operational reasons, we assumed that ideological polarization could change at each election but remained constant between elections.

¹⁴ Because the behavior of observations in our dataset (specific regime-years) is presumably independent across countries but not within countries, we used Huber-White (sandwich) standard errors adjusted for clustering by country. Huber-White standard errors relax the ordinary least squares assumption of independence across units. The limited number of transitions and breakdowns complicated the use of fixed-effect models.

TABLE 1.2. *Mean Values of Independent Variables for Years of Dictatorship in Latin America, 1946–1977 and 1978–1999*

	Mean Per Capita GDP ($t - 1$)	Mean Labor Force in Industry (%)	Mean Growth ($t - 1$)	Mean Annual Growth (last 10 years)	Mean Inflation ($t - 1$)	Mean Annual Inflation (last 10 years)	Mean # of Democracies in Latin America	N (Regime-years)
<i>1946–77</i>								
All Dictatorships	1,457	16.7	2.2	2.3	17	15	4.42	368
Years of Transitions	2,485	20.4	1.3	2.0	15	16	4.44	16
Years without Transition	1,410	16.5	2.2	2.3	17	15	4.42	352
<i>1978–99</i>								
All Dictatorships	2,258	19.9	0.0	1.4	33	35	7.11	135
Years of Transitions	2,352	21.7	1.4	0.9	50	38	7.44	16
Years without Transition	2,246	19.7	−0.2	1.4	31	35	7.07	119

Notes: Year 1945 is missing because the behavior of structural predictors during one year is expected to affect regime survival the following year (i.e., 1946). Cuba is excluded owing to the lack of data.

Mean per capita GDP is in capita U.S. 1995 dollars in the year before the given year of dictatorship.

Mean Growth ($t - 1$) is mean per capita growth in the year before the given year of dictatorship.

Mean Annual Growth for the last 10 years is for that particular regime only. If a dictatorship has been in existence for under 10 years, then the growth figure for a given regime-year is the average annual figure for the lifetime of the regime.

Mean inflation ($t - 1$) is mean inflation in the year before the given year of dictatorship.

Mean Annual Inflation for the last 10 years is for that particular regime only. If a dictatorship has been in existence for under 10 years, then the inflation figure for a given regime-year is the average annual figure for the lifetime of the regime.

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

dividing the sample into 1945–77 and 1978–99.¹⁵ Based on the expectations of some previous scholarship, the changes that took place in all seven quantitative variables between 1945–77 and 1978–99 were favorable to the increased likelihood of democratic transitions in the latter period. The per capita income in the average dictatorship increased substantially (from \$1,457 to \$2,258); the share of the labor force in industry increased (from 16.7 to 19.9 percent of the labor force); the mean economic performance of dictatorships worsened for both inflation (17 to 33 percent) and growth (2.2 to 0.0 percent), making more likely the demise of these dictatorships if economic performance affected their regime durability; and the mean number of democracies in the region, excluding the country in question, rose considerably (4.42 to 7.11), creating a less favorable regional environment for authoritarian regimes' survival.

Table 1.3 presents three statistical models based on RELogit of transitions from authoritarian rule into democracy or semidemocracy for the entire 1946–99 period. Years are coded 1 if a transition took place, 0 otherwise. The first model includes structural and macroeconomic predictors of democracy and the regional political variable (region). The level of development and the size of the labor force in industry were not significantly related to the probability of a democratic transition between 1946 and 1999 in Latin America. This is consistent with Przeworski et al.'s (2000) claim that the level of development does not explain the emergence of democracies and with the earlier arguments of Di Palma (1990), O'Donnell and Schmitter (1986), and Przeworski (1991) that transitions to democracy depend fundamentally on strategic bargaining and not centrally on the level of development. Among the performance indicators, only medium-term growth (i.e., up to ten years) was related to democratic transitions; the lower the performance of an authoritarian regime, the greater the likelihood of a democratic transition. The region variable is highly significant and has the expected positive coefficient; a larger number of democracies in the region in a given year enhanced the likelihood that any particular authoritarian regime would undergo a transition.

Model 3.2 includes a "Third Wave" dummy variable coded 0 for 1946–1977 and 1 for 1978–99. This control variable captures many changes in the region after 1977 that we cannot measure easily. This variable was not statistically significant in Model 3.2 because of a strong correlation with the region variable ($r = .788$). Because the number of democracies in the region grew substantially after 1977, the inclusion of the Third Wave variable erodes the statistical significance of the region term. A joint likelihood ratio test, however, showed that these two variables together did have, as expected, a highly significant impact on the likelihood of democratic transitions; each variable alone does not because of

¹⁵ Tables 1.3 and 1.6 are intended to provide basic information in an easy-to-read format rather than a formal test of causal relationships. Although the comparison of means typically implies that the categories (not the interval variables) are the predictors, presenting the data as we do provides a better format than the alternative cross-tabulations with arbitrary cutoffs for the interval variables.

TABLE 1.3. *Predictors of Democratic Transitions, 1946–1999*

Model Variable	3.1	3.2	3.3
Per Capita GDP ($t - 1$)	−0.052 (0.214)	−0.069 (0.205)	−0.047 (0.216)
Labor Force in Industry (%)	0.104 (0.068)	0.107 (0.066)	0.104 (0.068)
Growth ($t - 1$)	0.052 (0.057)	0.058 (0.056)	0.049 (0.057)
Inflation (ln, $t - 1$)	0.025 (0.206)	0.007 (0.223)	0.010 (0.211)
Growth (last 10 years)	−0.169 (0.097)	−0.190** (0.095)	−0.177 (0.097)
Inflation (ln, last 10 years)	−0.075 (0.277)	−0.134 (0.284)	−0.096 (0.289)
Region	0.255*** (0.079)	0.164 (0.115)	0.198** (0.098)
Third Wave (1978–99)		0.642 (0.416)	
U.S. Policy			0.438 (0.503)
Constant	−5.603*** (1.080)	−5.150*** (1.150)	−5.314** (1.124)
N	452	452	452
Pseudo-R ²	0.0913	0.0967	0.0944

Entries are RELogit coefficients (robust standard errors adjusted for clustering by country). Pseudo-R² corresponds to standard logistic model with equivalent specification.

* Significant at .1 level; ** Significant at .05 level; *** Significant at .01 level.

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

the substantial overlap between them ($\Delta G^2 = 8.68$, $d.f. = 2$, $p < .02$).¹⁶ This suggests that some of what we see with the region variable alone (i.e., without the Third Wave dummy variable) is not strictly an effect of having more democracies in the region (which is what the variable directly measures) but rather of other changes in the international political environment. Model 3.3 treats U.S. foreign policy separately from other regional environmental effects.

If it were possible to measure all relevant independent variables, the greater likelihood of transitions to democracy after 1978 compared to 1946–77 would result from two causal conditions or their combination. One possibility is that the values of some causal factors changed in a direction favorable to more transitions. For example, a higher level of development among authoritarian regimes might have been more favorable to transitions. The other possibility is

¹⁶ RELogit does not provide the log-likelihood, so this calculation is based on standard logistic regression.

TABLE 1.4. *Predicted Impact of Selected Variables on the Probability of Transition*

Variable	1946–77	1978–99
	Predicted Transition Rate (%)	Predicted Transition Rate (%)
Growth (10 years)	4.9	5.7
Region	4.3	8.1
All 7 Variables	4.0	9.8
Actual Transition Rate	4.3	11.9

Note: Based on Model 3.1. The selected independent variable in a given row is set at its mean for 1946–77 and 1978–99, respectively. All other variables are set at their historical means (1946–99).

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

that some variables had a historically contingent impact on regime transitions; that is, they had one kind of impact in the earlier period and a different one in the later. For instance, in the context of high ideological polarization in the 1960s, some actors might have been less tolerant of bad economic performance under democracy. Or they might have been more willing to stand bad economic performance under authoritarianism if they feared that a democratic regime would threaten their economic interests. In the absence of high ideological polarization, those reactions might have changed after 1977. The quantitative literature in political science has not been very attuned to such period effects,¹⁷ but they are theoretically possible.

We first assess whether the changes in the levels of the seven independent variables contributed to the greater likelihood of democratic transitions after 1978. Although all seven independent variables in Table 1.2 changed in a direction that some previous studies found favorable to democracy, for Latin America, as Model 3.1 showed, only two of them were statistically significant. Table 1.4 shows the predicted impact of these two independent variables from Model 3.1 and of the joint effect of all seven variables on the probability of a transition. The combined effect of the change in all seven independent variables (from Model 3.1) accounts for most of the change in the increase in the transition rate after 1977. By far, the change in the mean level of the region variable accounts for the biggest part of this increase. If we keep constant all other independent variables (holding them at their means for 1946–99) but allow the region variable to shift from its actual mean of 4.44 democracies for 1946–77 to 7.11 democracies in 1978–99, the predicted probability of a transition would nearly double, from 4.3 percent per regime-year in 1946–77 to 8.1 percent in 1978–99. This increase of 3.8 percent represents half of the actual observed increase of 7.6 percent in the transition rate, from 4.3 to 11.9 percent.

¹⁷ Gasiorowski (1995) and Gasiorowski and Power (1998) are exceptions.

Thus a change in the regional political environment is an important part of the explanation for the increase in the transition rate.

We explored two different ways of statistically assessing whether changes in the impact of the independent variables (without a change in the level of the variables) help account for the increased likelihood of transitions to democracy after 1978. One test, a comparison of Models 5.1 and 5.2, runs the same regression for the two different temporal samples. From 1946 to 1977, the previous year growth record of authoritarian regimes did not affect the likelihood of a transition to a competitively elected regime, but from 1978–99, authoritarian regimes with a higher growth performance – contrary to expectations – actually were more vulnerable to a regime change (Table 1.5). Previous year growth changed from a negative but insignificant coefficient from 1946–77 to a positive and significant one from 1978–99; thus, it seems that its impact changed between the two periods.

The other alternative is to run the entire 1946–99 period with a dummy variable for the Third Wave and to use interaction terms to test for historically contingent effects of the independent variables on the likelihood of a regime transition (Model 5.3). If an independent variable had a markedly different impact on the likelihood of a transition to democracy or semidemocracy in 1978–99 compared to 1945–77, the interaction terms should be statistically significant. None of the interaction terms achieves conventional levels of significance, and only one independent variable, the regional political environment, achieves (and barely) conventional levels of statistical significance. Given the large number of independent variables in the model and the small number (thirty-two) of transitions to competitive regimes, it is difficult to reach a definitive statistical conclusion on this issue.

In sum, more than any other variable we quantified, a more favorable regional political environment helped boost the rate of transitions to competitive regimes after 1977. International factors only occasionally are the driving force behind a transition to democracy; in our large dataset, Panama in 1990, with the U.S. invasion that deposed an authoritarian regime and installed a democratically elected president, was the only unequivocal example. But international factors can significantly alter the odds for or against transitions. Except for Whitehead (1986), little of the pioneering work on transitions was attuned to this interplay between domestic actors and the international political environment.

Having said this, the predictive capacity of these models is low. As a reference, Tables 1.3 and 1.5 include the pseudo- R^2 corresponding to standard logistic regression models following the same specification of the rare event logits (rare events logistic regression in Stata does not generate a default pseudo- R^2 value). The pseudo- R^2 is only 12 percent in Model 5.2 and 14 percent in Model 5.3. The limited performance of these models suggests that scholars seeking to understand transitions to democracy (Di Palma 1990; Levine 1973; Linz and Stepan 1996; O'Donnell and Schmitter 1986; Przeworski 1986, 1991) were right to emphasize the role of contingency and agency rather than structural

TABLE 1.5. *Transitions Models with Changing Effects in Two Historical Periods*

Model Variable	5.1 (1946–77)	5.2 (1978–99)	5.3 (1946–99)
Per capita GDP ($t - 1$)	0.492 (0.545)	−0.309 (0.209)	0.492 (0.540)
Labor Force in Industry (%)	−0.033 (0.151)	0.163 (0.103)	−0.033 (0.150)
Growth ($t - 1$)	−0.034 (0.095)	0.120* (0.065)	−0.034 (0.094)
Inflation (ln, $t - 1$)	−0.151 (0.239)	0.505 (0.481)	−0.151 (0.237)
Growth (last 10 years)	−0.063 (0.087)	−0.320 (0.202)	−0.063 (0.086)
Inflation (ln, last 10 years)	0.244 (0.348)	−0.534 (0.639)	0.244 (0.345)
Region	0.554 (0.338)	0.101 (0.133)	0.554* (0.334)
Third Wave (1978–99)			1.032 (2.241)
GDP ($t - 1$)* Third Wave			−0.801 (0.542)
Labor Force* Third Wave			0.196 (0.196)
Growth ($t - 1$)* Third Wave			0.153 (0.108)
Inflation (ln, $t - 1$)* Third Wave			0.656 (0.560)
Growth (10 years)* Third Wave			−0.257 (0.193)
Inflation (10 years)* Third Wave			−0.778 (0.735)
Region* Third Wave			−0.453 (0.307)
Constant	−5.790*** (1.691)	−4.757** (1.990)	−5.790*** (1.674)
N	317	135	452
Pseudo-R ²	0.0893	0.1219	0.1406

RELogit coefficients (standard errors adjusted for clustering by country). Pseudo-R² corresponds to standard logistic model with equivalent specification.

* Significant at .1 level; ** at .05 level; *** at .01 level.

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

factors. The most influential work on transitions to democracy, O'Donnell and Schmitter (1986), argued that transitions were marked by a high degree of indeterminacy. Our results support the claim that transitions in Latin America were not very much determined by structural and regime performance factors. For example, per capita income had no effect on the likelihood of a transition for the entire period or for the periods before or after 1978.

Democratic Breakdowns and Durability

The main question in this section is what accounts for the dramatic decrease in the breakdown rate after 1977, which is the most important factor behind the post-1978 increase in the number of democracies. Our dataset contains 525 regime-years of democracy and semidemocracy between 1946 and 1999. We have information covering all the independent variables discussed previously for 517 cases (344 cases if we include the index of party system polarization, which is available for only eleven countries). During these 517 regime-years of democracy and semidemocracy, there were twenty-one regime breakdowns.

Table 1.6 lists the mean values of the independent variables for the regime years of breakdowns and nonbreakdowns for 1946–77 and 1978–99. Even information presented in this simple manner poses serious doubts about some of the conventional wisdom regarding the causes of the greater durability of democracy and semidemocracy. For Latin America, it is implausible that higher levels of development, changes in the class structure, or better economic performance could account for the vastly greater durability of democracy after 1977.

A modernization argument based on the idea that democracy is less vulnerable at higher levels of development does not hold face value plausibility. The mean per capita income of the regime-years of democracy and semidemocracy was only 18 percent higher for 1978–99 than for 1945–77. Similarly, it is implausible that the small increase in industrial workers (from a mean of 20.8% of the labor force from 1945–77 to 23.7% in 1978–99) would dramatically strengthen democracy. A political economy argument based on regime performance is even less promising for explaining the greater durability of democratic and semidemocratic governments after 1977. The mean performance in terms of both inflation and growth, as measured by both a very short term (one year) and a longer term (up to the last ten years of the regime), was vastly worse in 1978–99 than in 1945–77. The only variable that showed a major positive transformation over time is the region variable.

Table 1.7 shows the results of a RELogit predicting a change from democracy or semidemocracy to authoritarianism in any particular regime-year for the entire 1946–99 period. In Model 7.1 (structural and regime performance variables) only one predictor achieves conventional levels of significance. Against received theoretical expectations, the coefficient for per capita income is significant but *positive* (the greater the level of development, the greater the probability of breakdown). The pseudo- R^2 in Model 7.1 is very low (.03), indicating

TABLE 1.6. *Mean Values of Independent Variables for Years of Democracies and Semidemocracies in Latin America, 1946–1977 and 1978–1999*

	Mean Per Capita GDP ($t-1$)	Mean Labor Force in Industry (%)	Mean Growth ($t-1$)	Mean Annual Growth (last 10 years)	Mean Inflation ($t-1$)	Mean Annual Inflation (last 10 years)	Mean # of Democracies in Latin America	Mean Party* System Polarization	% of Multipartism	N
<i>1946–77</i>										
All Years of Democracies/ Semidemocracies	2190	20.8	2.2	2.1	18	15	4.17	39.5	44.4	242
Years of Breakdown	2516	21.0	2.0	1.5	32	30	4.45	35.7	55.0	20
All Other Years of Democracies and Semidemocracies	2161	20.8	2.2	2.2	16	13	4.14	39.8	43.4	222
<i>1978–99</i>										
All Years of Democracies/ Semidemocracies	2586	23.7	0.9	0.8	275	318	9.20	40.2	37.1	283
Years of Breakdown	1909	20.8	0.3	−3.0	410	1,258	10.00	20.6	100.0	1
All Other Years of Democracies and Semidemocracies	2588	23.7	0.9	0.8	274	315	9.20	40.4	36.9	282

* Data for Party System Polarization available for only eleven countries.

Mean per capita GDP is in capita U.S. 1995 dollars in the year before the given year of democracy.

Mean Growth ($t-1$) is mean per capita growth in the year before the given year of democracy.

Mean Annual Growth for the last 10 years is for that particular regime only. If a democracy has been in existence for under 10 years, then the growth figure for a given regime-year is the average annual figure for the lifetime of the regime.

Mean inflation ($t-1$) is mean inflation in the year before the given year of democracy.

Mean Annual Inflation for the last 10 years is for that particular regime only. If a democracy has been in existence for under 10 years, then the inflation figure for a given regime-year is the average annual figure for the lifetime of the regime.

Mean Party System Polarization is based on Coppedge (1998).

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

TABLE 1.7. *Predictors of Democratic Breakdown, 1946–1999*

Model Variable	7.1	7.2	7.3	7.4	7.5
Per Capita GDP ($t-1$)	0.283* (0.146)	0.317** (0.136)	0.283* (0.148)	0.388*** (0.136)	0.298* (0.142)
Labor Force in Industry (%)	-0.118 (0.079)	-0.075 (0.051)	-0.091* (0.052)	-0.135*** (0.043)	-0.087* (0.050)
Growth ($t-1$)	0.052 (0.042)	0.051 (0.043)	0.042 (0.043)	-0.047 (0.054)	0.045 (0.042)
Inflation ($\ln, t-1$)	0.209 (0.163)	0.118 (0.212)	0.222 (0.285)	-0.229 (0.284)	0.209 (0.291)
Growth (last 10 years)	-0.130 (0.094)	-0.121** (0.055)	-0.090* (0.052)	-0.115 (0.098)	-0.091* (0.052)
Inflation ($\ln$, last 10 years)	-0.158 (0.173)	0.349 (0.229)	0.508 (0.315)	0.956** (0.393)	0.466* (0.278)
Region		-0.601*** (0.109)	-0.114 (0.253)	-0.023 (0.377)	-0.233 (0.220)
Multipartism		1.210** (0.434)	1.027** (0.451)	1.693** (0.715)	1.082* (0.439)
Semidemocracy		2.546*** (0.382)	1.974*** (0.438)	2.578*** (0.594)	2.161*** (0.374)
Third Wave (1978–99)			-3.706** (1.599)	-4.911** (2.194)	
IP (Polarization Index)				0.022** (0.011)	
U.S. Policy					-2.861** (1.449)
Constant	-1.164 (1.328)	-1.884*** (0.723)	-3.676*** (0.992)	-4.368** (1.726)	-3.312*** (0.933)
N	517	517	517	344	517
Pseudo-R ²	0.0313	0.3028	0.3356	0.3912	0.3277

RELogit coefficients (standard errors adjusted for clustering by country). Pseudo-R² corresponds to standard logistic model with equivalent specification.

* Significant at .1 level; ** at .05 level; *** at .01 level.

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

the very weak explanatory capacity of the structural and regime performance variables.

O'Donnell and Schmitter (1986) and Przeworski et al. (2000) argued that there is an asymmetry between transitions and breakdowns. They claimed that transitions did not depend on structural factors, but that structural factors were a better predictor of democratic breakdowns. For Latin America between 1946 and 1999, the evidence does not support this asymmetry argument. The structural and regime performance variables were weak predictors of both transitions and breakdowns.

These results improve dramatically after we add political variables to the equation (Model 7.2). Political factors provide a much better explanation of democratic survival; the pseudo- R^2 jumped from 3 percent in Model 7.1 to 30 percent in Model 7.2. As anticipated, a more democratic regional environment reduces the chances of breakdown ($p < .001$). Multiparty systems and semidemocratic regimes were more prone to breakdown than democracies with fewer than 3.0 effective parties and than full-fledged democracies. Per capita income retains its significance; more developed countries were slightly more vulnerable to breakdown. This finding is consistent with O'Donnell's well-known argument (1973) that the more developed countries of South America were especially prone to bureaucratic authoritarianism in the 1960s and 1970s and also with an earlier finding that in a wide income band, Latin American countries with a higher level of development were less likely to be democratic (Mainwaring and Pérez-Liñán 2003; also Landman 1999). One of the performance indicators also becomes significant: Democracies with a better medium-term growth performance were less likely to break down.

As in Table 1.5, the significance of the region variable declined after we incorporated a Third Wave dummy to account for other changes after 1977 (Model 7.3). With the minor exception that the variable for the percentage of the labor force in industrial activities became significant, other findings are consistent with Model 7.2. Model 7.5 distinguishes U.S. foreign policy from other effects of the regional political environment. Whereas the region variable was significant for explaining transitions even when U.S. foreign policy is treated separately, the U.S. policy variable is more important for breakdowns. Finally, Model 7.4 includes Coppedge's (1998) indicator of party system polarization for eleven countries. Consistent with theoretical expectations, greater polarization significantly increased the probability of a democratic breakdown.

Consistent with the arguments of Levine (1973), Linz (1978), and Stepan (1978), the findings in Table 1.7 emphasize the critical role of political factors in explaining the survival of democracies and semidemocracies. Semidemocracies tended to survive for shorter periods than fully democratic regimes, and sharp party system polarization promoted the demise of democratic rule. Regimes with 3.0 or more effective parties in the legislature were more likely to experience breakdowns. This finding is consistent with an earlier literature that emphasized the difficulties of multipartism under presidentialism (Linz 1994; Mainwaring 1993; Stepan and Skach 1994).¹⁸

Some of the most interesting findings in Table 1.7 are negative. Whereas previous literature had emphasized the impact of economic crises (Haggard and Kaufman 1995; O'Donnell 1973) or inflation (Skidmore 1977) on democratic breakdowns, we find weak or no effect. Counterintuitively, poor economic performance did not have a direct negative impact on democratic durability. The impact of poor economic performance on democracy was rather mediated

¹⁸ We ran Model 7.4 using ENP instead of the multipartism dummy. The results were similar, but the p value for ENP was .17.

by the expectations and perceptions of citizens (Powers 2001; Stokes 1996) and by the ways in which elites politicized economic failures.

Przeworski et al. (2000) showed that at a global level, democratic governments are more likely to endure at a higher per capita income level. Their finding was consistent with a much larger literature that argued that more developed countries were more likely to be democracies. A higher level of development, however, had no immunizing impact for democracy in Latin America (see also Landman 1999; Mainwaring and Pérez-Liñán 2003; O'Donnell 1973). Democratic and semidemocratic regimes were vulnerable to breakdown at even fairly high levels of development. Argentina, which during this fifty-four-year period consistently had one of the highest per capita incomes in Latin America, nevertheless suffered frequent breakdowns of semidemocratic or democratic regimes: 1951 (an erosion of an existing semidemocratic regime into authoritarianism), 1962, 1966, and 1976. Conversely, the only country that experienced democracy or semidemocracy without a breakdown during the 1945–77 period was Costa Rica. Costa Rica's per capita income was a meager \$1,310 (in 1995 U.S. dollars) in 1949, when the current democratic regime came into being.

Do changes in the values of the independent variables individually or jointly help explain the vastly greater stability of democratic and semidemocratic regimes after 1978? Table 1.8 addresses this possibility. The mean change in the region variable from 4.17 for 1946–77 to 9.20 for 1978–99 (see Table 1.6) made a large difference in the likelihood of a democratic breakdown. If all other variables had remained at the 1946–99 mean while the region variable shifted from 4.17 to 9.20, the predicted probability that a given democracy or semidemocracy would break down in a particular year would have plummeted from 7.0 to 0.4 percent. A more favorable regional political environment is

TABLE 1.8. *Predicted Impact of Selected Variables on the Probability of Regime Breakdown*

Variable	Predicted Breakdown Rate, 1946–77 (%)	Predicted Breakdown Rate, 1978–99 (%)
Per Capita GDP ($t - 1$)	1.4	1.5
Growth (10 years)	1.3	1.6
Region	7.0	0.4
Multipartism	1.5	1.4
Semidemocracy	1.6	1.3
All 9 Variables	5.5	0.5
Actual Breakdown Rate	8.3	0.4

Note: Based on Model 7.2. The selected independent variable in a given row is set at its mean for 1946–77 and 1978–99, respectively. All other variables are set at their historical means (1946–99). Values for multipartism and semidemocracy rows are the predicted probabilities of a regime breakdown if all other variables are set at the 1946–99 mean and this particular variable has the actual probability for 1946–77 and 1978–99, respectively.

Source: Based on the Latin American Democracy Dataset (LADD), electronic dataset compiled by Aníbal Pérez-Liñán, Scott Mainwaring, and Daniel Brinks.

TABLE 1.9. *Predictors of Democratic Breakdown, 1946–77*

Model Variables	9.1	9.2
Per capita GDP ($t - 1$)	0.283 (0.174)	0.458** (0.206)
Labor Force in Industry (%)	-0.083 (0.055)	-0.147*** (0.043)
Growth ($t - 1$)	0.030 (0.042)	-0.078* (0.046)
Inflation ($\ln, t - 1$)	0.402 (0.367)	-0.161 (0.601)
Growth (last 10 years)	-0.098* (0.052)	-0.111 (0.093)
Inflation ($\ln$, last 10 years)	0.269 (0.336)	0.853 (0.752)
Region	-0.153 (0.279)	-0.068 (0.409)
Multipartism	0.942** (0.467)	1.579** (0.660)
Semidemocracy	1.922*** (0.491)	2.577*** (0.616)
IP (Polarization Index)		0.029** (0.014)
Constant	-3.360*** (1.119)	-4.080** (1.738)
N	234	186
Pseudo-R ²	0.1977	0.3077

RELogit coefficients (standard errors adjusted for clustering by country). Pseudo-R² corresponds to standard logistic model with equivalent specification.

* Significant at .1 level; ** at .05 level; *** at .01 level.

therefore a key to understanding the sharp post-1978 reduction in the breakdown rate. Changes in the levels of the other independent variables did not have much effect on the predicted probability of a democratic breakdown.

Another possibility is that the impact of some independent variables (such as inflation) on the probability of regime breakdown changed after 1977. In the case of democratic breakdowns, it proved difficult to test statistically for this possibility through interaction terms.¹⁹ As a result, we turned to a more intuitive test.

Table 1.9 presents two additional models for the 1946–77 period based on Models 7.3 and 7.4. The overall results are consistent with the previous findings, although some variables (per capita income and industry in Model 9.1, and medium-term inflation in Model 9.2) lose statistical significance. For

¹⁹ The calculation of interaction terms with all the independent variables in the same model was impossible in Stata. The combination of only one breakdown after 1977 and a large number of independent variables because of the interaction terms prevented tests of statistical significance.

1945–77 semidemocracies and democracies with a higher per capita income (against theoretical expectations), multiparty systems, regimes with greater party system polarization, and (in Model 9.1 but not 9.2) a poor medium-term growth rate were more vulnerable to regime breakdowns. Semidemocracies were more susceptible than democracies to breakdowns.

There was only one breakdown after 1978 (Peru's coup in 1992). No model estimation was feasible for the post-Third Wave part of the sample because of the lack of variance in the dependent variable. Hence it was not possible to test statistically whether the impact of some independent variables had changed over time, in the sense of having one kind of impact in 1945–77 and a different one in 1978–99. Nevertheless, it is obvious that in the Third Wave some independent variables had a changing impact on the likelihood of survival of democratic and semidemocratic regimes. Democracies were more able to withstand polarized party systems after 1978. They were more likely to survive with multipartism. Finally, and above all, they were better able to survive despite a vastly worse economic record after 1978. Many of the conditions for democratic survival were less favorable after 1978 than they were between 1945 and 1977, yet democracies and semidemocracies were far less prone to breakdown. Adverse economic conditions that would have significantly increased the odds of a democratic breakdown before 1978 had little impact on those odds after 1978. Competitive regimes became far less vulnerable under stressful conditions.

In sum, two kinds of change help account for the dramatic decrease in the breakdown rate of competitive regimes after 1978. A more favorable regional political environment helped reduce the breakdown rate after 1978 (a favorable change in the *level* of the region variable). In addition, democracies after 1978 were able to withstand some factors (multipartism, party system polarization, a poor medium-term growth record, and semidemocracy) that made them vulnerable to breakdown between 1945 and 1977 (a favorable change in the *impact* of these variables).

4. REGIONAL POLITICAL EFFECTS

The quantitative analysis showed that a more favorable regional political environment was a major factor in accounting for both the increased transition rate and the sharp drop in the breakdown rate after 1977. Regional political trends and influences have been important in the waves of regime transformations. The regional variable taps the effects of several interrelated changes in the international system; problems of overparametrization and measurement make it impossible to disentangle the effects of these interrelated changes in a dataset with a limited number of regime changes.²⁰ In this section, we provide a qualitative interpretation of the quantitative finding that a more favorable regional political environment is a key to understanding the increase in the

²⁰ An additional statistical complication is that the Third Wave dummy variable that is needed to test for interactive effects is almost perfectly collinear with important changes in U.S. foreign policy and in the role of the Organization of American States in supporting democracy.

transition rate to democracy and semidemocracy and in the sharp reduction in the breakdown rate of democracies and semidemocracies after 1978. We briefly address what actors and processes create regional political effects.

The International Ideological Context

Domestic political actors do not operate in a vacuum, sealed in by national borders. They act in a world of permeable borders and freely flowing information. Books and journals, television and radio, electronic communication, international conferences, international political organizations such as the Christian Democratic and Socialist Internationals, and international travel and exchanges of ideas and communication by scholars, politicians, policy makers, and activists (Htun 2003; Keck and Sikkink 1998) act as means of disseminating information. Cross-country dissemination of information and norms has become especially intense in recent years with the advent of a much more powerful internationalized media (e.g., CNN) and the internet.

Rather than constituting independent developments in Latin American countries, changing attitudes had powerful demonstration effects across borders – what Starr (1991) calls diffusion effects. Leftist groups in one country witnessed the futility of trying to win power through revolutionary means in neighboring countries. Intellectuals met at international conferences and exchanged ideas. Parties that were members of the Socialist International observed parallel transformations in Western Europe and Latin America.

These channels of communication are particularly significant for actors of proximate ideological persuasion. On the left of the political spectrum, growing acceptance and valuing of democracy in Latin America was fueled by developments in Western Europe in the 1970s and by the withering of socialism in the 1980s. Many Latin American intellectuals and politicians who spearheaded the left's reevaluation of democracy lived in exile in Western or Eastern Europe. In Western Europe, they were influenced by growing criticisms of extant socialist regimes and by progressive challenges from new social movements and green parties to the old authoritarian left. Those on the left who did not go into exile were also influenced by the changing international climate.

In the Third Wave of democratization, with the partial exception of President Reagan's first four years in office, the international ideological context has been relatively favorable to democracy in Latin America. This favorable ideological context does not guarantee that specific countries will become or remain democratic, but it enhances the likelihood of democracy. International factors only exceptionally *determine* regime transitions and processes, but they significantly alter the odds for or against democracy.

International Actors: The Catholic Church

Changes in the Catholic Church also affected the regional political environment. The Church has traditionally been an actor of political import in most Latin American countries, and until the 1960s, it frequently sided with authoritarians.

It was a protagonist in several coups against democratic or semidemocratic governments across the region. The revolutions in Mexico and Cuba were trenchantly anticlerical, and the Church consistently opposed leftist movements and governments. The Church applauded coups in Venezuela in 1948 (Levine 1973), Colombia in 1949, Brazil in 1964, and Argentina in 1976.

Since the 1970s, the Catholic Church has usually supported democratization (Huntington 1991: 74–85). Under the sway of the Second Vatican Council, the Church came to accept and promote democracy in most of the region. In Brazil, the Church spearheaded the opposition to military rule in the 1970s and strongly advocated a return to democracy (Mainwaring 1986). Elsewhere, the Church reached a peaceful *modus vivendi* with democratic governments (Levine 1981), notwithstanding conflict over issues such as abortion. In a few cases, such as Argentina and Guatemala, the Church supported authoritarian rule in the 1970s and early 1980s, but even those churches have not attempted to undermine democracy since its inception. In Chile, El Salvador, Nicaragua, and Peru, the Church criticized authoritarian regimes and promoted transitions to democracy.

The U.S. Government and Governmental Agencies

Democratic transitions and breakdowns can be thought of as “tipping games,” in which different actors bet on a regime change, continue to support the existing regime, or remain on the sidelines. External actors such as the United States can affect the likelihood of coups and democratic transitions in a range of ways: (1) moral suasion that changes the attitudes and behavior of domestic actors; (2) symbolic statements that embolden some actors, strengthen their position, and weaken other actors; (3) sanctions against governments; (4) conspiracies against governments; and (5) military actions that overthrow the regime and install a new one. In the first three kinds of influence, external actors shape regime change by influencing domestic actors; in the final one, external actors directly determine regime change. This final possibility has been the rare exception in Latin America, but external actors, especially the U.S. government and since 1990, the Organization of American States (OAS), have frequently shaped the logic, costs, and benefits of domestic actors through the first three kinds of influence. By doing so, the United States and OAS have significantly affected the regional political environment.

During most of the post-1977 period, the United States supported transitions to competitive regimes and opposed breakdowns of such regimes. Its positions have raised the costs of coups to potential coup players. Under such circumstances, some players that would otherwise have probably supported coups have not done so. The threat of sanctions by the United States and the OAS makes the expected benefit–cost ratio of supporting a coup unfavorable.

Historically, the United States several times supported coups against democratic governments (Brazil in 1964, Chile in 1973). Occasionally it was a leading protagonist in coups (Guatemala in 1954), and only rarely did it vigorously

promote democracy in Latin America. From the early twentieth century until Jimmy Carter's administration (1977–81), cozying up to friendly dictators was commonplace.

This practice started to change under President Carter, who publicly criticized human rights violations committed by authoritarian governments friendly to the United States (Argentina, Brazil, Chile, and Uruguay). Carter also supported democratic transitions in the Dominican Republic, Ecuador, and Peru. In the Dominican Republic in 1978, his initiative blocked electoral fraud that would have extended authoritarian rule. By promoting an honest vote count, Carter helped pave the road for the first democratic transition of Latin America's Third Wave. His policy started to change the public discourse in the United States regarding foreign policy.

Early indications after President Ronald Reagan's inauguration in 1981 were that the new president would abandon the Carter administration's concern with democracy and human rights. Surprisingly, the Reagan administration's foreign policy efforts began to emphasize democracy during the president's second term (Carothers 1991). The 1982 war in the South Atlantic between Britain and Argentina contributed to the administration's reorientation by unveiling the potential bellicosity and erratic behavior of authoritarian regimes. The administration supported Britain in the conflagration and thereafter never again coddled Argentina's generals.

To bolster the credibility of its much criticized military offensive against the Sandinistas, the administration used prodemocracy rhetoric and ultimately criticized authoritarianism of the right (Arnson 1993; Whitehead 1991). Without a minimal effort to promote democracy elsewhere in Latin America, the crusade against the Sandinistas and support for the regimes in El Salvador and Guatemala would have encountered more congressional and public resistance than it already did. The Reagan administration declared its opposition to military uprisings in Argentina in 1987 and 1988, and it pressured for democratic change in Chile, Paraguay, Panama, and Haiti.

Under the first President Bush (1989–93), the United States generally supported democratic initiatives in Latin America. Supporting democratic governments was made easier by the collapse of the Soviet Union and the Sandinistas' setback at the polls in 1990. Anticommunism receded, and the United States no longer had the communist threat to contend with. The first Bush and Clinton administrations promoted democratization in Haiti, criticized authoritarian involutions in Peru (1992) and Guatemala (1993), and applied pressure against coup mongers in Peru (1989), Venezuela (1992), and Paraguay (1996). The 1989 invasion of Panama ousted dictator Manuel Noriega and led to the installation of a government that had been denied office through electoral fraud. The United States has used diplomatic pressure, public pronouncements, and economic sanctions to bolster democracy and hinder authoritarian regimes (Pastor 1989b). Several U.S. governmental agencies including the Agency for International Development have also attempted to foster democracy in Latin America.

The United States could have done more to bolster democracy in the hemisphere. But the contrast to the pre-1977 pattern of supporting coups and dictators helps account for greater democratic survivability in the Third Wave.

The OAS and Other Multilateral Organizations

In the early 1990s, an important change occurred in international mechanisms for supporting democracy. Previously, in its efforts to support democracy in Latin America, the U.S. government had relied mainly on moral suasion, public support for democracy, and public criticisms of authoritarianism. The efficacy of such measures did not rest exclusively on their capacity to change the thinking of actors in Latin America. U.S. support can embolden the democratic opposition to authoritarian regimes and delegitimize regimes, thus tipping the strategic calculations of critical domestic actors. But the impact of such ideological support for democracy is enhanced if authoritarian incumbents and potential coup players face direct sanctions. The likelihood of direct sanctions arose in 1991–92, when the OAS approved new measures for the multilateral defense of democracy. In 1991 the OAS passed Resolution 1080, which called for a meeting of the foreign ministers of the Western Hemisphere countries within the first few days of a democratic breakdown and legitimated OAS intervention in such cases. Resolution 1080 prompted OAS interventions in Haiti (1991), Peru (1992), Guatemala (1993), and Paraguay (1996). In the aftermath of approving Resolution 1080, in December 1992, the OAS approved the Washington Protocol, which enables the OAS General Assembly to approve suspending the membership of any member country that experiences a coup (Burrell and Shifter 2000; Perina 2000). Resolution 1080 significantly raised the costs of a coup and in several crisis moments altered the calculations and behavior of domestic political actors. In Latin America the threat of international sanctions against coup players was clear when coup mongers in Paraguay (1996) and Guatemala (1993) backed off when confronted with the likelihood of sanctions, and when Fujimori (Peru, 1992) responded to international pressures by restoring elections.

Democratic governments in Latin America have supported efforts to encourage democracy and to impose sanctions against authoritarian regimes. Collectively, non-governmental organizations, multilateral agencies, and the governments of Latin America, Western Europe, and North America have created a norm of disapproval of authoritarianism and support – ideological, if not material – for democracy.

Groups that monitor elections have enhanced the integrity of the electoral process. Such monitoring was important in Chile in the 1988 plebiscite and in Nicaragua in 1990. In both cases, massive foreign intervention promoted citizen expectations of fair elections and encouraged the incumbents to respect unfavorable results at the polls.

Other institutional mechanisms to enforce democratic norms have emerged. In July 1996 the presidents of the Mercosur countries – Brazil, Argentina, Uruguay, Paraguay, Bolivia, and Chile – signed an agreement stating that any

member nation would be expelled if democracy broke down. Pressure from neighboring Mercosur nations helped avert a coup in Paraguay in April 1996. In an age of growing international economic integration, authoritarian governments now faced the possibility of economic sanctions such as those that crippled the economies of Panama under Noriega and Haiti after the military deposed Aristide. The United States, UN, and OAS have applied sanctions against patently authoritarian governments.

Never before in the Americas has there existed anything like the near universal ideological elite support for democracy that has been present since President Reagan's second term. Even in this context, democratic breakdowns can occur, as happened in Peru in 1992. But they have been vastly less common. At almost any other time in the history of Latin America before 1978, regimes such as those in Venezuela (2002), Guatemala (1993), Paraguay (1996, 2000), and Ecuador (2000) would probably have suffered breakdowns.

Decreasing Polarization in the Third Wave

The quantitative analysis showed that party system polarization has an important impact on the rate of democratic and semidemocratic breakdowns in Latin America. Party system polarization is related to but not coterminous with other forms of political polarization.

The proximate cause of most breakdowns of democratic and semidemocratic regimes in Latin America has been intense political polarization, and a proximate cause of the greater durability of democracy after 1978 has been diminished political polarization. This effect is suggested by but not fully captured by Coppedge's index of party system of polarization employed earlier. Some forms of polarization take place outside the party system. Moreover, Coppedge's index measures party system polarization at elections and cannot capture short bursts of intense polarization that may trigger a coup a year or more after the election. Finally, although Coppedge's index is very useful, it does not fully capture changes in the meaning of left and right. The chasm that divided the left and right in Latin America during the apex of the Cold War has narrowed as the positions of the left and right have evolved.

Before 1978, in most Latin American countries, democracy allowed for the articulation of interests of political actors with intensely different and seemingly irreconcilable objectives. The Cuban revolution (1959) brought about intensified conflict and inspired young leftists to fight for their dreams of revolutionary socialism. It prompted conservatives and reactionaries to view leftists and reformists with heightened fear and suspicion. The 1960s and 1970s marked the zenith of polarized politics if we assess regionwide tendencies. Democracy could not blossom in this breeding ground of intense polarization. For political actors on both the left and the right, politics often approached the logic of war: The objective was complete victory. This logic made democracy "an impossible game," to use the term that O'Donnell (1973, 1978a) aptly coined to describe Argentine politics from 1955 to 1973 (see also Cavarozzi 1983). But it was not only in Argentina that democracy was an impossible game for protracted

periods of time. The same was true of many other countries in the region. High levels of political polarization and intense political conflict in the 1960s and 1970s triggered most democratic breakdowns during this period.

The shift from zero-sum polarized politics to the politics of compromise and moderation occurred at different times in different countries. In Venezuela, following the intense conflict of 1945–48 and the regime breakdown in 1948, political leaders in 1958 began to forge a new democracy based on moderation, with centralization of power in disciplined political parties and state office holders (Levine 1973, 1978). In Colombia, after the violent rampages of the 1948–57 period, political elites forged a stable albeit exclusionary democracy whose pillars remained largely intact until the 1991 constitution (Bejarano and Pizarro, this volume; Hartlyn 1988). But these two countries were outliers.

Polarization began to recede in Argentina, Brazil, Chile, and Uruguay in the late 1970s. In all four countries, the revolutionary left was vanquished by military dictatorships (though somewhat later in Chile). The majority of what remained of the left in Argentina, Brazil, and Uruguay renounced violence and embraced democracy. In Argentina, the intense polarization between Peronists and anti-Peronists that had characterized the 1945–73 period abated greatly (Cavarozzi 1983). Polarization receded in Bolivia in the mid- to late 1980s and in Peru, El Salvador, Guatemala, and Nicaragua in the early 1990s. Diminishing polarization made managing conflict within the bounds of democracy easier.

Attitudes toward Democracy

The effects of polarization on democratic stability and of regional factors on the stability of both authoritarian and competitively elected regimes were indicated by the quantitative analysis. For these two explanatory variables, the qualitative analysis extended the quantitative analysis. Changing attitudes toward democracy also made possible the dramatic post-1978 transformation in Latin America. We do not have a reasonably efficient and valid way to measure attitudes toward democracy for nineteen countries over an extended period of time, so we build this argument exclusively on the basis of qualitative data (see also Diamond 1996; Weffort 1986).

The greatest change in attitudes toward democracy in Latin America came on the left. Never a numerically large force, the revolutionary left nonetheless had a major impact in many Latin American countries in the 1960s and 1970s. It was authoritarian in its practices and in its preferred political system, and it resorted to violence to accomplish its objectives (Gillespie 1982; Ollier 1998). It regarded liberal democracy as a bourgeois formalism, believed that violence was needed to “liberate” the working class, and advocated revolutionary socialism, which is incompatible with democracy.

By the mid-1980s, the revolutionary left had become a nonactor in most countries (Castañeda 1993), though Peru, El Salvador, Guatemala, and Nicaragua were still exceptions. In most countries, it was physically annihilated. It had become obvious that its biggest effect was not to free “the people,”

but to spur the armed forces toward ruthless repression. In Brazil and the southern cone, most of the revolutionary left reassessed and rejected its earlier political convictions and practices (Ollier 1998). Having experienced life under brutal dictatorships, most survivors concluded that democracy was necessary and desirable. The Soviet Union and China increasingly appeared to the Latin American left as authoritarian models and were rejected. The crisis of real socialism, culminating in the collapse of the Soviet Union, further diminished the appeal of authoritarian leftist ideologies.

By 1990 the left in most of South America had substantially changed its political views, but the Central American left (particularly in Nicaragua, El Salvador, and Guatemala) had not. The withering of the Sandinista regime in Nicaragua and its eventual defeat at the polls in 1990 initiated a process of critical reflection among Central American revolutionaries. The crushing defeat of Sendero Luminoso in Peru and the decision of the revolutionary left to give up arms in El Salvador and Guatemala moved the tide further away from revolution. By the mid-1990s, the revolutionary fervor was even weaker than it had been a decade before, and the civil wars in Central America came to a gradual halt.

Intellectuals have historically had more political influence in Latin America than in the United States, and this remains the case to this day. In the 1960s and 1970s, most politically influential Latin American intellectuals were on the left, hostile to capitalism and ambivalent (or worse) about liberal democracy. Dependency theory was in its heyday. Most intellectuals considered radical social change a more urgent priority than liberal democracy. Many doubted that “bourgeois” democracy was possible under conditions of dependent development.

In the post-1978 period, progressive intellectuals became more convinced of the importance of democracy (Lamounier 1979; Packenham 1986; Weffort 1986). By the late 1980s, dependency theory had lost much of its credibility (Packenham 1992), and the fascination with revolution had subsided. These changes occurred as part of an international trend; intellectuals in Europe, too, increasingly questioned the authoritarian left, renounced Marxism, and embraced liberal democracy.

Change on the left extended to electorally significant parties. Committed to Leninist ideals and rhetorically favorable to a revolutionary uprising in the 1960s and 1970s, the Chilean Socialist Party became a stalwart of liberal democracy in the 1980s (Walker 1990). In 1972 the Central Committee of the Socialist Party criticized Salvador Allende’s socialist government for respecting “bourgeois mechanisms that are precisely what impede us from accomplishing the changes that we need” and called for a dictatorship of the proletariat (Walker 1990: 159). By 1982, a mere decade later, the wing of the party that had most vigorously denounced bourgeois institutionality explicitly rejected real socialism, affirming that it had failed to “create mechanisms of democratic governance capable of resolving the conflicts that emerge in a modern society. For this reason, it does not constitute an inspiring model for Chilean socialism” (Walker 1990: 188; see also Roberts 1998). Having previously been

ambivalent about liberal democracy, the Bolivian MNR (National Revolutionary Movement, *Movimiento Nacionalista Revolucionario*) embraced it in the 1980s. Notorious for its authoritarian past, the Peronist party in Argentina, of a predominantly center-left orientation until the 1980s, also largely accepted democracy by the 1980s. Before the 1973 breakdown, the Frente Amplio in Uruguay was dominated by semiloyal and disloyal elements, in Linz's (1978) terms. By the early 1990s, most party leaders fully accepted democracy.

Change on the right was equally important. Historically, the right was the greatest obstacle to democracy in Latin America. In most of Latin America, traditional elites maintained virtually unfettered power until some time (varying by country) in the twentieth century (Hagopian 1996a, 1996b), and they refused to accept democracy when doing so could threaten their core interests. As the revolutionary left became more significant in the aftermath of the Cuban revolution, the right became more disposed to undermine democracy (where it existed) to protect its interests and less willing to contemplate democracy where it did not. Conservative political elites frequently conspired against democracy in Brazil between 1946 and 1964 (Benevides 1981) and in Argentina between 1930 and 1966 (Gibson 1996).

As the specter of communism faded, much of the right became willing to abide by democratic rules of the game, and the other sectors became less prone to support coups. The left's transformation in a more democratic direction fostered a similar trajectory on the right. One of the most dramatic transformations occurred with the right wing party in El Salvador, Arena. Known for its close linkages to death squads and the oligarchy in the early 1980s, by the mid-1990s Arena had helped engineer the peace treaty that ended El Salvador's civil war and incorporated the former guerrillas into the political process (Wood 2000b and her chapter in this volume).

Less can be said about the military's shifting attitudes because little research has been done on this subject (for an exception, see Fitch 1998). Past research has suggested that few coups are successful without the support of powerful civilian allies (Stepan 1971). Therefore, even if the armed forces have not undergone a significant change in values, the changing attitudes of other actors have prompted different military behavior in the political arena.

The changing attitudes toward democracy in Latin America created a virtuous cycle. Change in one actor fostered change in others. The conversion of leftist groups to democratic politics, for example, reduced the fears of rightist actors that democracy could lead to their destruction. Similarly, the growing willingness of rightist groups and governments to abide by electoral politics signaled to the left that some positive change – minimally, the end to massive human rights violations – could occur through democracy.

These changes had profound implications. By the 1990s politics was less polemical and less threatening. Gone was the sense that politics is an all important, zero-sum game, a low-intensity warfare. Under these conditions, sustaining democracy is easier. Actors became willing to accept minor losses under democracy; earlier, they were not willing to play a game that might

TABLE 1.10. *Changes in Polarization, International Environment, and Attitudes toward Democracy, 1946–1977 versus 1978–1999*

	1945–1977	1978–1999
Political polarization	High in most of the region	Lower, especially in Argentina after 1978, Bolivia after 1985, Brazil after 1989, Chile after late 1970s, El Salvador after 1992, Guatemala after 1995, Peru after 1992, and Uruguay after late 1970s
Catholic Church support for democracy	Inconsistent across countries; supported some coups	Solid by the 1980s
U.S. government support for democracy	Inconsistent; supported some coups	Solid 1977–81 and after mid-1980s
OAS support for democracy	Not an important actor	Solid by 1980s; major actor by 1990s
Leftist attitudes toward democracy	Instrumental	Support (change came late El Salvador, Guatemala, Nicaragua, and Peru)
Rightist attitudes toward democracy	Opposition at moments of intense polarization	Acceptance

entail catastrophic losses. These changing attitudes about democracy and politics have insulated democracy from poor economic and social performance by governments.

This argument about changing attitudes toward democracy is consistent with the quantitative results presented earlier. These changing attitudes are reasonably closely correlated with decreasing party system polarization. Changes in the regional political environment facilitated and also reflected the changes in attitudes of domestic actors toward democracy. We summarize the qualitative arguments of the last three sections in Table 1.10.

5. THE IMPASSE OF LATIN AMERICAN DEMOCRATIZATION: 1992–2003

One theme of this book is that by the end of the twentieth century, the process of democratization had stagnated. Figure 1.1, which provides a highly aggregated picture of trends in democracy, shows that between 1992 and 2003, regime change in a democratic direction stabilized. In keeping with our emphasis on the unprecedented nature of the post-1978 wave of democratization, this stagnation occurred at a level of democracy that Latin America had never

experienced before. Further advances were more difficult because most countries were already democratic or semidemocratic.

This highly aggregated picture reflects a few cases of democratic advances, a few of erosion, several countries that had remained stuck with semidemocratic regimes, and two cases (Cuba and Haiti) of persistent authoritarianism. The “impasse” of democratization refers to the combination of several democratic erosions (changes from democracy to semidemocracy), several cases of stagnation of semidemocracy, and the two persistent authoritarian regimes. Jointly, these phenomena allow for considerably more democratization than has been achieved.

Democracy advanced in Mexico, the region’s second most populous country (see Magaloni’s chapter), but it eroded in Colombia in the early 1990s (Bejarano and Pizarro’s chapter) and in Venezuela (Coppedge’s chapter) late in the decade. As of early 2005, the region had several robust democracies including Brazil, Chile, Costa Rica, Mexico, Uruguay despite its economic crisis, and even Argentina (as Levitsky skillfully and counterintuitively argues in his chapter) despite its precipitous economic decline of 2001–02.²¹ A democratic breakdown in these countries seemed highly improbable. Several other regimes, however, were far more fragile, including those of El Salvador (see Wood’s chapter) and Guatemala (Seligson’s chapter), as well as Ecuador, Paraguay, and Venezuela (Coppedge’s chapter). After nearly fifteen years of unexpected democratic stability (1985–2000), Bolivia’s democracy became more fragile in the new millennium, leading up to President Sánchez de Lozada’s forced ouster in 2003 (Mayorga’s chapter).

Several countries in the region have experienced near-breakdowns since the Peruvian breakdown of 1992. In Venezuela in 1992, a faction of the military led by Colonel Hugo Chávez attempted to overthrow President Carlos Andrés Pérez. At that time, Venezuela had Latin America’s second oldest democracy (next to Costa Rica’s); once it had served as an exemplar of how to build democracy in a country with an authoritarian past (Levine 1973). In Guatemala in 1993, President Jorge Serrano attempted a palace coup along the lines of what Peruvian President Alberto Fujimori had done the previous year. Thanks to international pressures and domestic mobilization, Serrano was defeated and was forced to resign. In Paraguay factional disputes within the ruling Colorado Party have created several episodes of political instability in recent years. In 1996 General Lino Oviedo attempted a coup, which was defeated in good measure because of international pressure (Mora 2000). The assassination of Paraguayan Vice-President Luis M. Argaña in 1999 triggered several days of political turmoil that led to the collapse of the Raúl Cubas Grau administration (Abente Brun 1999). In May 2000 a new military coup attempt took place, but it was rapidly defeated.

²¹ The Brazilian and Mexican regimes and to a lesser extent the Argentine regime are less than fully democratic at the subnational level in some regions of the country. For general discussions of this problem, see O’Donnell (1993b); Samuels and Snyder (2001); Snyder (2000).

In Ecuador the Congress deposed President Abdalá Bucaram in 1997, claiming that he was mentally impaired – a procedure of dubious constitutionality. Three years later, popular mobilization and a military coup led to the ouster of President Jamil Mahuad. Much of Ecuador's political elite supported the coup; some prominent political leaders had even called for it, making manifest their tenuous commitment to democracy. The military almost immediately turned power over to the vice president, but widespread public support for the coup underscored the growing public willingness to tolerate nondemocratic processes. In December 2001 an armed group attempted without success to take over the presidential palace in Haiti. A few days later, mass protests in Argentina forced the resignation of President Fernando de la Rúa. In the context of high levels of unemployment and an unpopular bank account freeze, food riots and middle-class protests triggered an institutional debacle that led to the congressional appointment of two caretaker presidents within just ten days. Fortunately, the military publicly declared that it would not intervene. In contrast, in April 2002 a military coup toppled Venezuela's President Hugo Chávez, though he returned to power two days later when the coup collapsed.

In some countries, impeachments (Brazil 1992, Venezuela 1993) and pseudo-constitutional forms of deposing presidents (Ecuador 1997) have become substitutes for military coups (Pérez-Liñán 2003). In the new inter-American system, the costs of overtly authoritarian rule have been prohibitively high. In contrast, the costs of alternative, even nondemocratic means of deposing presidents are low, provided that the leaders of the effort to depose the president turn over power to someone else. In the last decade Latin America has witnessed a new pattern of political instability, characterized by (1) the fragility (and in some cases the collapse) of many elected governments; (2) the unwillingness or inability of military officers to take over even when they are able to depose a president; (3) popular protest as a key driving force behind the demise of elected presidents; and (4) the growing role of legislatures as the institutional arena to provide a short-term resolution for political crises.

In the late 1990s and first years of the new millennium, several individuals with dubious attitudes toward democracy made successful or nearly successful runs at the presidency. In 1998 Hugo Chávez, who led the 1992 coup attempt, was elected president of Venezuela. Michael Coppedge's chapter underscores the erosion of democratic practice during Chávez's presidency. In 2002 Lucio Gutiérrez, the leader of the military coup that deposed President Mahuad two years earlier, won the presidency in Ecuador. Both Chávez and Gutiérrez ran as antiparty politicians. The rise of antiparty politicians – especially former coup leaders – often spells troubles for democracy; whatever the flaws of particular parties and the shortcomings of particular party systems, parties remain an indispensable mechanism of representation in democratic politics. Earlier in 2002, another antiparty candidate with questionable attitudes toward democracy, Evo Morales, made it to the presidential runoff in Bolivia. In 2001 a populist with no ties to established parties, Alejandro Toledo, won the presidency in Peru,

succeeding another populist with no ties to established parties (Fujimori, 1990–2000) after a one-year interregnum (2000–01).

Notwithstanding some potential for breakdowns in a few countries, the main problem confronting democracy in most countries is not sheer durability but rather a panoply of problems such as poor economic and social performance, weak states, high crime rates, and citizen disgruntlement. Remarkably, competitively elected regimes have survived in the face of all this.

Public opinion surveys register disaffection with democracy and in most countries a moderate citizen commitment to it. Table 1.11 shows the results of Latinobarómetro surveys about citizen support for democracy in the region in 1996, 2000, 2001, 2002, and 2003. Between 1996 and 2003, in fourteen of seventeen countries there was a decrease in the share of citizens who agreed that “Democracy is always preferable to any other kind of government.” The question also provided two other options: “In some circumstances, an authoritarian government can be preferable to a democracy,” and “For someone like me, it does not matter whether the regime is democratic or not.” In only two countries, Costa Rica and Uruguay, was the percentage of those who said democracy is always the best political regime above 60 percent in all five surveys. In several countries, this percentage is alarmingly low. Latin American citizens gave considerable latitude to democratic and semidemocratic governments for poor

TABLE 1.11. *Support for Democracy, 1996–2003*

Country	1996	2000	2001	2002	2003	Change 1996–2003
Uruguay	80	84	79	78	78	–2
Costa Rica	80	83	71	77	77	–3
Argentina	71	71	58	65	68	–3
Venezuela	62	61	57	75	67	5
Honduras	42	64	57	57	55	13
Mexico	53	45	46	63	53	0
Peru	63	64	62	57	52	–11
Nicaragua	59	64	43	63	51	–8
Panama	75	62	34	55	51	–24
Chile	54	57	45	50	50	–4
Bolivia	64	62	54	56	50	–14
Ecuador	52	54	40	49	46	–6
Colombia	60	50	36	39	46	–14
El Salvador	56	63	25	40	45	–11
Paraguay	59	48	35	45	40	–19
Brazil	50	39	30	37	35	–15
Guatemala	51	45	33	45	33	–18

Cells show percentage of respondents who agreed that “Democracy is preferable to any other kind of government.”

Source: *The Economist* (2003), based on Latinobarómetro surveys.

performance in the short and middle term, but it seems that in the late 1990s they valued concrete results at the expense of democracy.²²

In earlier sections, we argued that decreasing polarization, a deeper commitment to democracy among key actors, and a favorable international political context have been supportive of democracy in Latin America in the post-1978 period. Since the late 1990s, there have been hints of change in the opposite direction in these three trends in a few countries. Venezuelan politics has become dramatically polarized, not so much along the traditional left–right axis (although conflict along this axis is significant) as between pro- and anti-Chávez supporters. Polarization escalated in Colombia as drug lords, guerrillas, the paramilitary, and the armed forces struggled to control the country's territory. In Bolivia, the outbreak of social mobilization in 2000, the nearly successful presidential candidacy of Evo Morales in 2002, and renewed anti-system mobilization in 2003 that led to Sánchez de Lozada's forced resignation indicated rising polarization (see Mayorga's chapter). Several factors suggest a minor dip in the commitment to democracy: the successful presidential bids of ex-*golpistas* Hugo Chávez in Venezuela and Lucio Gutiérrez in Ecuador; the initial popularity of Fujimori's coup in 1992 and his ability to win presidential elections in 1995 and 2000 despite leading a coup; the willingness of political leaders to use nondemocratic means to oust presidents in Ecuador in 2000 and Venezuela in 2002; the already cited Latinobarómetro data on citizen attitudes toward democracy; and the political turmoil that has roiled Paraguay. The U.S. government had an equivocal attitude toward the April 2002 coup against Chávez, initially appearing to support the coup. In the aftermath of September 11, the George W. Bush administration has focused more on terrorism and less on democracy building than any U.S. administration since Nixon and Ford (1969–77).

The Impasse of Democratization: Three Contributing Factors

In this section, we briefly discuss three factors that have contributed to the stagnation of democratization in Latin America. The first and third are related to both the cases of stagnation at semidemocratic regimes (Guatemala, Honduras, Nicaragua, Paraguay) and to the cases of erosion from democracy to semidemocracy. The second focuses on the failure of several semidemocracies to become full democracies.

First, there is an asymmetry in the effects of the OAS and other international actors such as Mercosur. The OAS and Mercosur have greatly increased the price of overtly authoritarian regimes, but they are powerless to prod semidemocratic regimes into further democratization. Even in the face of openly

²² Surprisingly, public opinion about regime preference is not a good measure of the solidity of democracy in Latin America. Support for democracy was low in some democracies (Chile and Brazil) that were quite robust. Support for democracy was high in some countries (Venezuela) where the regime was tottering.

authoritarian regimes, the OAS faces a delicate balance: At what point is it going too far in intervening in the internal affairs of another country? When a regime sponsors reasonably free and fair elections but falls short of other criteria of democracy, this dilemma has been insurmountable for the OAS. The OAS has also been powerless against erosions of democratic regimes. In a similar vein, multilateral actors have had almost no capacity to nudge semidemocracies into becoming more democratic. They are often key in encouraging transitions from authoritarianism to semidemocracy or democracy and in discouraging democratic breakdowns, but developing a more robust democracy hinges overwhelmingly on domestic politics.

Second, the difficulties of democratic deepening have been greater in the poorer countries of the region. It is especially among these countries that semidemocratic governments have taken root in the post-1978 period. While 56 percent of the cases of democracy corresponded to regime-years above the average per capita GDP in this period (\$2,480), only 17 percent of the cases of semidemocracy fell in this group. Between 1978 and 1999, the average per capita income (one-year lag) for democracies was \$3,033, as opposed to \$1,669 for semidemocracies. Notwithstanding the exceptions of Venezuela and Colombia, the wealthier countries have been more able to sustain fuller democracies.²³ A low level of development has not impeded transitions to competitive regimes or induced more democratic breakdowns, but it has been strongly associated with semidemocracy as opposed to fuller democracy. In the poor countries, nondemocratic traditional elites are more powerful than in the middle-income countries. In this respect, poor economic growth has limited structural transformations that would have been auspicious for democracy.

A third factor that has contributed to the impasse of democratization is that, since the early 1980s, most democratic and semidemocratic governments have governed poorly. Notwithstanding a few success stories, the mean performance in such domains as economic growth, job generation, income inequalities, poverty reduction, corruption, and citizen security has been deficient. Table 1.12 provides information on the performance in economic growth (1992–2001), inflation (1997–2001), and unemployment (2001), as well as Transparency International's subjective evaluations of corruption, which has also been at the forefront of voters' concerns. Economic growth was better in the 1990s than during the dismal 1980s, but the region's aggregate performance was still worse than analysts hoped for and far worse than it was between 1945 and 1980. From 1998 through 2002, taking the region as a whole, per capita income was stagnant. The Dominican Republic and Chile had strong growth performances during the decade from 1993 to 2002, but only one other country, Peru, came close to them. Per capita income declined in five countries (Argentina,

²³ This observation is consistent with the expectations of modernization theory, which posited that wealthy countries were more likely to be democratic. Because Latin America has frequently confounded this expectation (Landman 1999; Mainwaring and Pérez-Liñán 2003; O'Donnell 1973), this development is notable.

TABLE 1.12. *Economic Performance Indicators and Transparency International Rating of Corruption, 1993–2002*

	Percentage Change in Per Capita Income, 1993–2002	Mean Inflation, 1998–2002 (%)	Urban Unemployment, 2002/03 (%)	TI Corruption Perceptions Index, 2002
Argentina	–7	8	16	2.8
Bolivia	11	3	9	2.2
Brazil	15	7	12	4.0
Chile	36	3	9	7.5
Colombia	5	10	18	3.6
Costa Rica	18	11	7	4.5
Dominican Republic	45	7	16	3.5
Ecuador	2	39	10	2.2
El Salvador	18	2	6	3.4
Guatemala	11	6	4	2.5
Haiti	–14	12	–	2.2
Honduras	1	11	6	2.7
Mexico	11	10	3	3.6
Nicaragua	13	9	12	2.5
Panama	10	1	16	3.0
Paraguay	–12	10	15	1.7
Peru	30	3	10	4.0
Uruguay	–6	9	18	5.1
Venezuela	–18	21	20	2.5

Source for economic data: ECLAC (2002, 2003). All 2002 and 2003 (unemployment) figures are preliminary. Figures for urban unemployment employ different methodologies in different countries. Figures for urban employment for Argentina, Brazil, Chile, Colombia, Ecuador, Mexico, Peru, Uruguay, and Venezuela are for 2003. See ECLAC (2001) for details.

The Transparency International corruption score is a subjective ranking that ranges from 1 (most corrupt) to 10 (least corrupt). Source: Transparency International (2003).

Haiti, Paraguay, Uruguay, and Venezuela) during this period. As of 2003, unemployment was high in virtually the entire region. Employment generation is important for alleviating poverty and income inequality, so the dismal mean performance in creating new jobs has taken a heavy social toll.

The performance deficiencies extend beyond the economy and perceptions of corruption. Most Latin American governments have done a poor job of addressing crime and citizen security. El Salvador, Guatemala, and Colombia have among the highest murder rates in the world today, and crime is a serious problem in virtually every major Latin American city. In most countries, state performance in health, education, and infrastructure has been deficient.

The generally mediocre regime performances have had deleterious effects on democracy. The regimes with the worst performance have been weaker regimes, and they have been more vulnerable to coup attempts. A coup attempt

is a simple yet powerful indicator of regime vulnerability. Since 1998 there have been coup attempts in Ecuador, Haiti, Paraguay, and Venezuela among the nineteen countries covered in this chapter. The mean per capita growth performance of these four countries over the 1993–2002 decade was -11% . In 2002, the mean Transparency Index for these four countries was a dismal 2.15, compared to a poor but markedly better mean index of 3.7 for the other fifteen countries.

Poor regime performance has also bred citizen disaffection and paved the way to populist politicians with dubious democratic credentials. In contexts of considerable poverty and sharper inequalities than are found in any other region of the world, citizens became frustrated with democratic and semidemocratic regimes that failed to deliver.

Before the 1990s most analysts expected that democracy's fate in Latin America would hinge on its performance – especially its economic performance. This expectation has not been borne out in terms of regime durability, but it has affected the solidity of competitively elected regimes. Some Latin American democracies of the post-1978 period have been among the worst democracies in world history in economic performance, yet they have endured. If we restrict the analysis to regime survival, the Latin American experience since 1978 strongly supports the views of Linz and Stepan (1989: 42–48), who argued that democracy can be relatively impervious to performance failures. Yet the cases of Ecuador, Haiti, Paraguay, Peru from 1980 to 1992, and Venezuela suggest, not surprisingly, that bad performance over an extended period of time makes competitively elected regimes more vulnerable. These regimes with particularly bad performances have not broken down, partly because international sanctions have made overt breakdowns costly, but the quality of democracy has suffered.

To provide a systematic test of this idea, we looked at four dichotomous indicators of democratic erosion in Latin America between 1980 and 2001. First, we created a dichotomous variable to capture “democratic erosions” when, according to our coding of political regimes, democracies turned into semidemocracies (Model 13.1). Only seven such erosions affected the 204 democratic regime-years between 1980 and 2001. Second, we used a dummy to document the occurrence of military rebellions against democratic or semidemocratic governments. Thirteen military rebellions threatened a total of 312 democratic or semidemocratic country-years during this period. Although these rebellions were generally unsuccessful, they typically signaled an underlying weakness of competitive regimes (Model 13.2). Third, based on a systematic coding of the newsletter *Latin American Weekly Report* (all issues between 1980 and 2001), we documented all instances in which mass demonstrations called for the resignation of the president (Model 13.3). Of the 312 regime-years of democracy or semidemocracy, 22 presented mass protests against the elected president. The fourth dichotomous variable captured the presence of “presidential crises,” instances in which an elected president threatened to close an elected congress or the legislators attempted to remove the president from office (Model 13.4).

TABLE 1.13. *Predictors of Democratic Erosion, 1980–2001*

Model Variable	13.1 Regime Erosion	13.2 Military Rebellions	13.3 Mass Protests	13.4 Presidential Crisis
Per Capita GDP ($t-1$)	0.180 (0.660)	0.188 (0.251)	-0.055 (0.186)	-0.313 (0.195)
Growth ($t-1$)	-0.253 (0.434)	0.033 (0.071)	-0.076 (0.113)	-0.034 (0.070)
Inflation ($\ln, t-1$)	-1.785 (2.215)	0.263 (0.275)	0.181 (0.335)	0.148 (0.174)
Growth (last 10 years)	-0.260 (0.753)	-0.141** (0.057)	-0.106 (0.158)	-0.233* (0.133)
Inflation ($\ln$, last 10 years)	1.389 (1.498)	-0.170 (0.263)	-0.355 (0.423)	-0.315 (0.216)
Multipartism	-1.182 (3.000)	-0.329 (0.852)	-0.053 (0.463)	0.797 (0.563)
Scandals (last 5 years)	-1.383 (4.065)	0.010 (0.078)	0.176*** (0.060)	0.196* (0.108)
Constant	0.691 (2.414)	-3.502*** (0.998)	-2.293*** (0.736)	-2.342*** (0.869)
N	204	311	311	311
Pseudo-R ²	.665****	.044	.090	.150

RELogit coefficients (standard errors adjusted for clustering by country). Pseudo-R² corresponds to standard logistic model with equivalent specification.

* Significant at .1 level; ** at .05 level; *** at .01 level; **** Coefficients for Growth (10 years), Inflation (10 years), Multipartism, and Scandals are significant at the .1 level in the standard logit model.

Source: Based on the Latin American Democracy Dataset (LADD), *World Development Indicators* (2003), and *Latin American Weekly Report* (1980–2001).

According to *The Latin American Weekly Report*, 20 presidential crises occurred during the 312 regime-years under study.

The results of the four RELogits are presented in Table 1.13. The independent variables reflect the level of development, growth, and inflation, as well as the presence of a multiparty system. An additional variable captured the number of scandals of corruption or abuse of power involving the elected governments over a period of five years (or since the installation of the competitive regime) as reported by *The Latin American Weekly Report*. In spite of the small number of events under observation, the evidence suggests that poor medium-term growth and poor government performance reflected in media scandals may significantly hurt democratic solidity over time.²⁴

²⁴ Unfortunately, systematic data on unemployment were not available for most countries until the 1990s. When we ran the models with the available information on unemployment (from World Development Indicators), this variable was a significant predictor of mass protests calling for the president's ouster.

In the post-1978 period, there has been an asymmetry in the causal impact of three variables on regime solidity as opposed to regime durability in Latin America. The structural and regime performance variables were not important for understanding regime transitions or breakdowns, but they are key for understanding regime quality (democracy versus semidemocracy) and solidity after 1978. This is the mirror image of the international political environment and U.S. foreign policy, which were important for understanding the emergence and durability of competitive regimes, but which have little or no impact in preventing democratic erosions, in enhancing the character of low quality, competitively elected regimes, or in distinguishing between democratic and semidemocratic regimes.

As Mainwaring and Hagopian argue in the introduction, both structural and regime performance variables and political variables (U.S. policy, diffusion, multipartism, polarization) are important in explaining different kinds of regime outcomes. The former help identify vulnerable regimes and low quality (semidemocratic) competitive regimes; the latter help explain transitions and breakdowns. As noted earlier, there is an underlying reason for this asymmetry: International actors can impose costly sanctions on patently authoritarian regimes, thus allowing vulnerable competitive regimes to survive, but they cannot enhance the quality or performance of such regimes.

6. CONCLUSIONS

What have we learned about the post-1978 wave of democratization in Latin America on the basis of this chapter? First, this wave of democratization is by far the longest lasting and the broadest that Latin America has ever experienced. A region that had previously usually been dominated by openly authoritarian regimes in most countries was transformed into one where openly authoritarian regimes were the rare exception. Nobody expected such a transformation (Domínguez 1998: 1–12; Mainwaring 1999c). Indeed, even by the mid-1980s, when the stunning period of democratization from 1978–92 was half over temporally and had already made most of its advances in terms of number of countries, many analysts still emphasized the difficulties of achieving and sustaining democracy.

A second important theme in this chapter is that this burst of democratization defied many expectations in the broader literature. Previous large-*N* studies (e.g., Przeworski et al. 2000) argued that democratic regimes are more likely to survive at higher levels of development. In Latin America, in contrast, for 1946–77, democratic and semidemocratic regimes were slightly more vulnerable to breakdown at a higher level of development. Democracy has endured in Latin America at fairly low levels of development, especially but not only in the post-1978 period. Countries with low GDPs such as Bolivia, Ecuador, and El Salvador have remained semidemocratic or democratic in the post-1978 period, during which there has been only one clear regime breakdown (Peru in 1992). Moreover, some moderately poor countries (the Dominican Republic in 1978,

Ecuador in 1979, and Peru in 1980) initiated the post-1978 democratization while most of the region's wealthier countries (e.g., Argentina, Brazil, Chile, and Mexico) were mired in authoritarian rule.

In a similar vein, some literature indicated that democratic and authoritarian regimes are more likely to survive if their economic performance is better. In Latin America, inflation and growth has had little or no impact on the survival of democratic and semidemocratic regimes or of authoritarian ones. Democracy has survived with a much greater likelihood since 1978 compared to 1945–77, even though median regime economic performance fell from solid in the earlier period to poor.

When patterns in a major region of the world fly in the face of wisdom that has been sustained by careful social science research (e.g., Przeworski et al. 2000), observers must take stock of this fact. Latin American exceptionalism suggests the need to reexamine some of the conventional wisdom. Many scholars have argued that higher levels of development were causally associated with a greater likelihood of democracy (Coppedge 1997; Diamond 1992; Lipset 1959; Przeworski et al. 2000). Most implied that this finding was generalizable across time and regions. The evidence here shows that this seemingly robust finding, while not precisely regionally specific, nevertheless does not hold for an intra-Latin American analysis for the lengthy period under examination here.

Restated in a different way, Latin America has important regional and temporal specificities. While the search for generalizable findings in the social sciences is laudable – indeed essential – it should not blind us to regional and temporal specificities (Bunce 2000). Modernization theory has considerable deductive power, and its results have held up across many different kinds of empirical tests. Yet it does not hold for Latin America during this lengthy time period.

Third, structural variables such as per capita income and the share of the labor force in manufacturing and regime performance variables are not important factors in explaining the increase in the durability of competitive regimes or the increased vulnerability of authoritarian regimes after 1978. In contrast, political variables have been powerful contributing factors to the Third Wave of democratization.

In Latin America, regime survival has depended far more on political factors than on economic performance and the level of development. Decreased polarization, a greater appreciation of democracy, and a changed international environment including tough sanctions against openly authoritarian regimes contributed significantly to the sea change in Latin American politics. After 1978 democracy became more sustainable because the stakes were perceived as being lower, and the actors were more tolerant of conflict given these lower stakes. Open authoritarianism became less viable because of international pressures. Throughout Latin America, the Cold War had a pernicious impact on prospects for democracy. It fueled polarization on the left and right, elevated the stakes of politics, and made the United States suspicious of reformist and leftist democratic governments and willing to support authoritarian rightist

governments. In Brazil and the southern cone, the Cold War ended in the late 1970s, as the left was vanquished and relinquished the former ideal of revolutionary socialism.

Fourth, most quantitative approaches to understanding democracy – and some qualitative ones as well – have assumed temporal causal homogeneity, that is, that independent variables have a similar effect at all moments in time. Some attention to causal temporal heterogeneity is wise. In Latin America several independent variables had different effects before and after 1978, especially on regime breakdowns. Democratic and semidemocratic regimes were much more able to survive in the face of poor regime performance after 1978 than in the earlier period. This finding supports the view (Ragin 1987) that sometimes important causal processes in the social sciences are combinatorial rather than linear and additive (i.e., specific and historically contingent combinations produce an outcome, and absent some of these conditions, the outcome will not obtain, even if other important causal factors are present).

Fifth, our analysis underscores the importance of regional political effects and trends. It is impossible to understand the post-1978 transformation of Latin American politics exclusively in terms of the cumulative effect of isolated political processes in individual countries. What happens in one country affects others. Moreover, developments among transnational and internationalized actors that affect and/or act in many countries (the United States, the OAS, international movements and organizations, the media) affect political regimes in multiple countries. Of course, it is also impossible to understand this transformation and other waves of regime changes in Latin America mainly as a result of regional effects; country-specific processes are very important.

The importance of regional political trends and influences has been neglected in political science (for exceptions, see Bunce 2000; Gleditsch 2002; Meseguer 2002). Regions of the world are contiguous countries that experience some common political trends and mutual influences that explain those common trends. Although our analysis underscores the importance of regional trends and influences, we reject regional analyses predicated on gross generalizations for the entire region.²⁵ Our analysis, which assigns a different value for all independent variables (except U.S. foreign policy) for each country in a given year, takes into account each country's specificities while also considering regional trends and influences. We believe that this is the way that regions of the world should be studied. This region has important common trends and influences, but it also has huge cross-country differences. By treating each country as different while simultaneously analyzing regional influences, we have taken into account both the diversity and the common effects within Latin America. In a similar vein, through a combination of regional overviews and single-country chapters, this volume as a whole combines analysis of the broader pattern with attention to country specificities.

²⁵ These gross generalizations about Latin America as a whole are common in works that emphasize Iberian political culture.

Finally, after stunning and unprecedented progress, this wave of democratization ground to a halt in the 1990s. Because of the favorable international environment for democracy, among other factors, there has been only one democratic breakdown in the period since 1992 – Peru. But democracy has eroded in several countries including Venezuela and Colombia; unconstitutional means of deposing presidents (but not through traditional coups leading to military regimes) have become more common; and more citizens now than in 1996 question that democracy is always the best form of political regime. As the chapters that follow argue, democratic governments face daunting problems in most of the region. Nevertheless, it is remarkable how resilient competitive regimes have been in the face of these problems and poor regime performance.

